Unit 1

Introduction

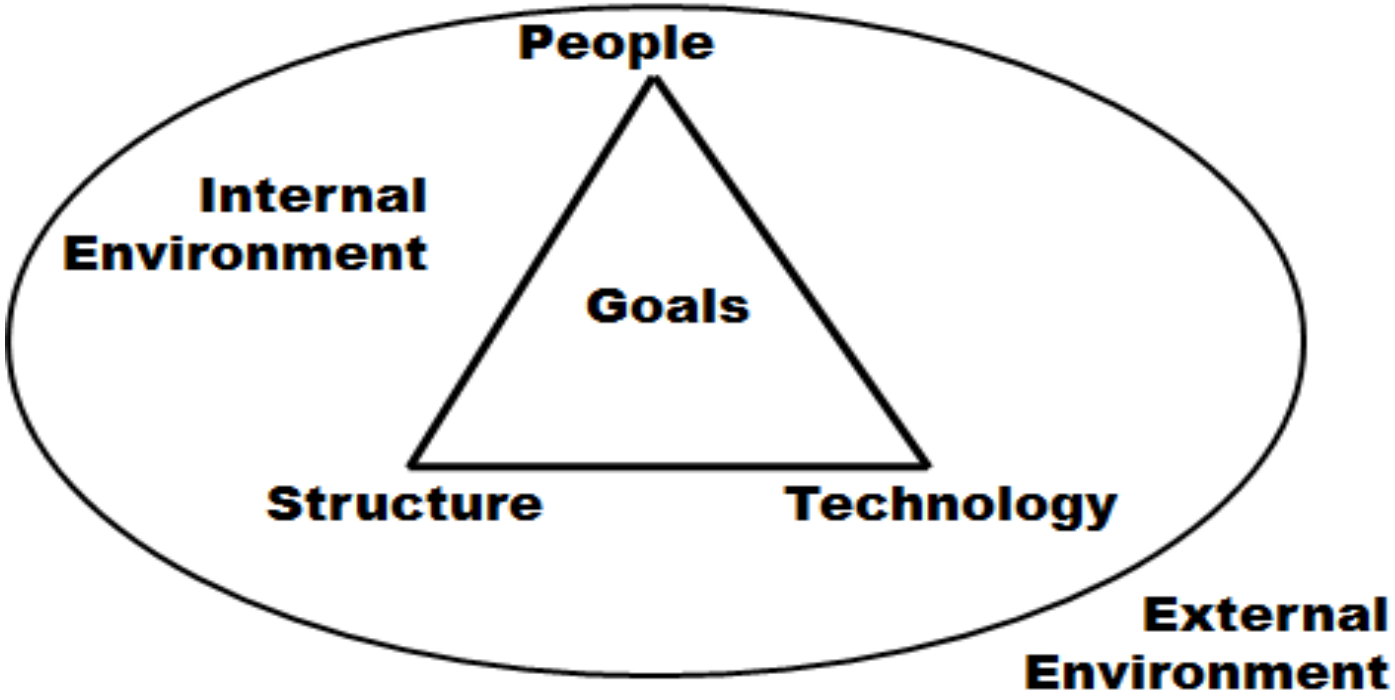
Organization

- It’s a Social Structure
- An entity in which two or more people work interdependently through structured patterns
- Coordination of man, machine and materials
- For a purpose of accomplishing a set of goals
  - Create value for its stakeholders, stockholders, employees, community, customers

Organization is a …..

- Goal Oriented System
  - People work together for specific goals
- Social System
  - People work in a group
- Technological System
  - People use the knowledge and techniques they possess

Organization in 1 picture



Why an Organization

- People work together to achieve certain goals
- When organized, they can have better performances
- Fulfill basic needs
- Its better to work in group than work alone
- Better resources, diverse views and knowledge, more experiences, great potentials

- The objective must be common for the organization
- Rules and Regulations must be organized, so no conflicts and confusion occur
- People related should be willing to cooperate with each other
- Have greater communications with each other

Organization in Society

- The goals the organizations set to achieve directly or indirectly affects the society
- Development in education system, healthcare, technologies have helped us live a better life
- Hospitals, Colleges and Universities, Banks, Telecommunication, Technologies, Entertainment industry

System approach of Organization

- Consists of interdependent parts that work together to continually monitor and transact with the external environment
- Important to study the change in the external world
- Changes in technologies, methods, customer needs, market trends, rules and regulations
- Feedback from the customers

MANAGEMENT

- In simple words, getting things done through other people
- In an organization, management is the act of getting people together to achieve the set goals using the available resources effectively and efficiently
- Brain of an Organization
- Coordination of human, material resources and technology
- Management's existence as old as the human origin
  - General sun Tzu, the art of war, 6th century BC
  - Chanakya's Arthashastra, 300 BC

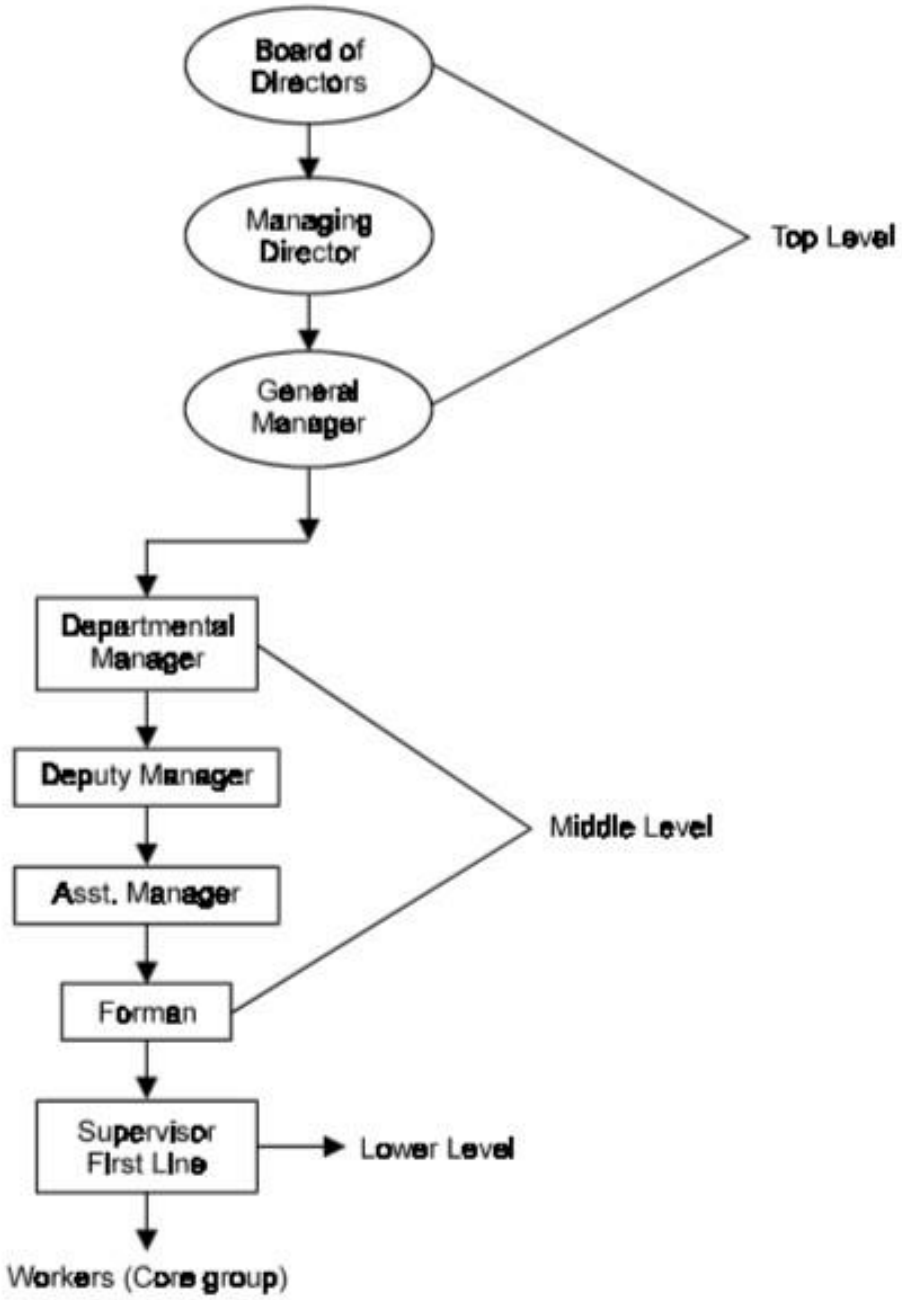
Function/Importance

- Proper Planning, determine what is to be achieved
- Proper Organizing, allocate resources and establish the means to accomplish the plan
- Proper influence, motivate and lead personnel towards the goal
- Controlling activities in the organization, compare results achieved to the planned goals

Levels of Management

- Depends upon the size, complexity and the nature of organization

- Commonly this structure is followed in most of the organization →



- Top level Management
  - Usually resides in the Top Layer of the Pyramid.
  - Higher Authority
  - Sets the goals, objectives, policies, and budgeting of the organization
  - Main functions involve the decision making
  - Sets the rules and regulations, issues order to the lower levels, guidelines and instructions

- Middle Level Management
  - Usually resides in the Middle Layer of the Pyramid.
  - Head of the functional departments
  - Mediator between the top level management and the lower level
  - Main function is to implement the policies set by the top level

- Lower Level Management
  - Usually resides in the Lowest Layer of the pyramid
  - Responsible for the day to day activities
  - Supervision of the workers and labors
  - More involved in working to achieve the goals set by the organization

Function of Management

- Planning
  - Thinking before doing
- Organizing
  - Developing a framework that relates all personnel, work assignments and resources
- Directing
  - Requires leadership
  - Giving guidelines to the personnel related to the definite objectives
  - Supervising

- Coordinating
  - Required for the efficient and effective run of the organization
  - Managers are responsible for coordination and communication between different individuals working under the organization, to achieve the same set of goals
- Controlling
  - Watch the activities of the organization
  - Compare the results achieved with the goals set

SCOPE OF MANAGEMENT

1. Production Management
2. Marketing Management
3. Financial Management
4. Personnel Management

Production Management

Planning, organizing, directing and controlling the production function so as to produce the right goods, in right quantity, at the right time and at the right cost. Includes the following activities:

- designing the product
- location and layout of plant and building
- planning and control of factory operations
- operation of purchase and storage of materials
- repairs and maintenance
- inventory cost and quality control
- research and development etc.

Marketing Management

Identification of consumers needs and supplying them the goods and services which can satisfy these wants. Involves the following activities:

- marketing research to determine the needs and expectation of consumers
- planning and developing suitable products
- setting appropriate prices
- selecting the right channel of distribution, and
- promotional activities like advertising and salesmanship to communicate with the customers

Financial Management

Seeks to ensure the right amount and type of funds to business at the right time and at reasonable cost. Comprises the following activities:

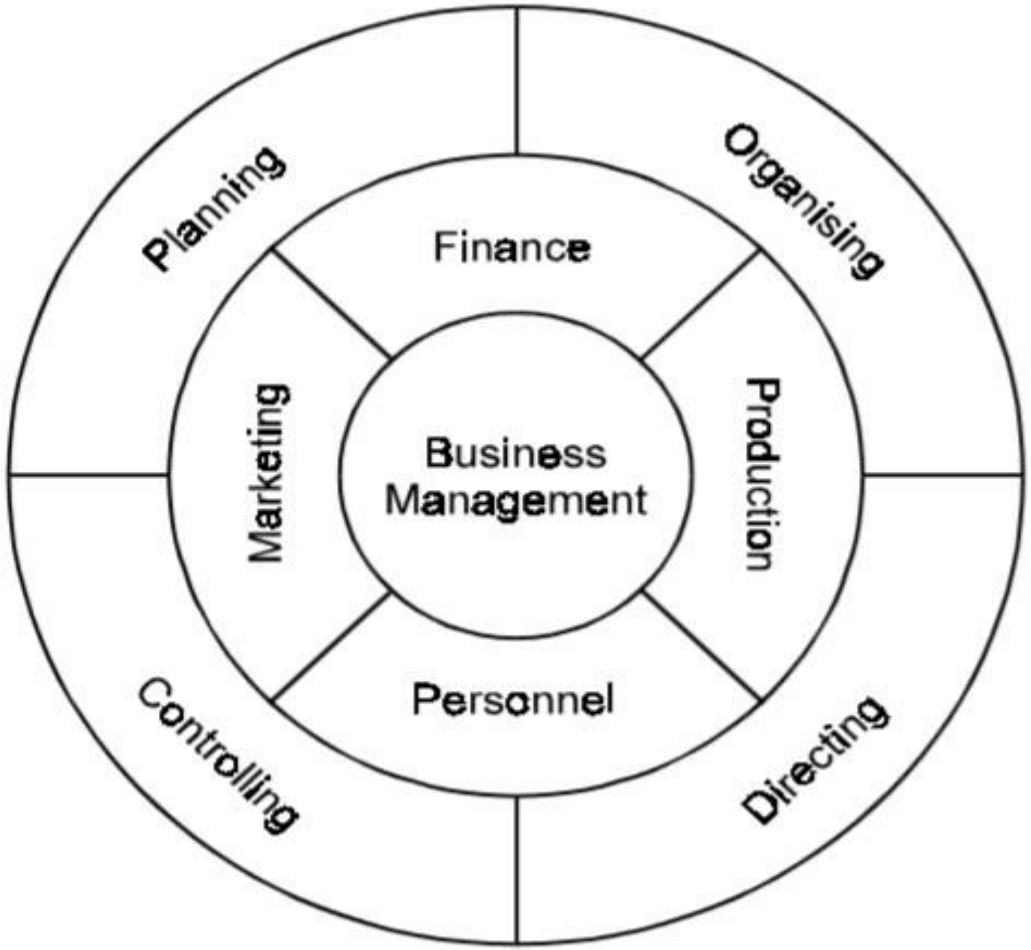
- estimating the volume of funds required for both long-term and short-term needs of business
- selecting the appropriate source of funds
- raising the required funds at the right time
- ensuring proper utilization and allocation of raised funds so as to maintain safety and liquidity of funds and the credit- worthiness and profitability of business, and
- administration of earnings Thus, financial management involves the planning, organizing and controlling of the financial resources.

Personnel Management

Involves planning, organizing and controlling human resources of an organization. It consists of the following activities:

- Manpower planning
- Recruitments,
- Selection,
- Training
- Appraisal,
- Promotions and transfers,
- compensation, employee welfare services, and personnel records and research

Scope of Management at a glance



Principles of Management

- Henry Fayol (1842-1925), French Mining engineer and Management Consultant.
- First person to analyze the functions of Management
- Made three major contribution to the theory of management
  - A clear distinction between technical and managerial skills
  - Identified functions constituting the management process
  - Developed principles of management
- Fayol described management as a scientific process built up of five elements
  - Planning
  - Organizing
  - Directing
  - Coordinating
  - Controlling

- Fayol’s Principle

  Developed a set of 14 principles

  - Division of Labour
    - Work should be divided into individuals and groups as per their specialization. Work Specialization
  - Authority and Responsibility
    - Authority is the right to decide, to direct others, to take action, to perform certain duties in achieving the organizational goals
    - Responsibility is an obligations to perform work activities
  - Discipline
    - A successful organization requires the common effort of the workers
    - Penalties should be applied when necessary

- Line of Authority
  - A clear chain or authorities from top to bottom level of management
  - Scalar Chain
  - Authority should be defined at each level of Management and it should flow from top to bottom
- Centralization
  - Centralization is the degree to which authority rests at the top level
  - Fayol defined Centralization as lowering the importance of subordinates role, where as decentralization is increasing the importance
  - Whether determining centralization or decentralization depends upon the specific organization
- Unity of Direction
  - The entire organization should be moving towards a common objective in a common direction
- Unity of command
  - Employees should have only one boss
- Order
  - Each employee is put where they have the most value
- Initiative
  - Management should encourage employee initiatives, self direction

- Equity
  - Treat all employees fairly in justice and respect
- Remuneration
  - Fair rate should be determined for paying worker’s effort keeping in mind many variables like, cost of living, qualification, business conditions and the amount of responsibility
- Stability of Tenure
  - Long term employment is important for success
- General interest over individual interest
  - Importance should be given to the success of the organization rather than individual success
- Espirit de Corps
  - “Union is Strength”- refers to harmony and mutual understanding among the members of an organization

ORGANIZATION

- An organization is a social group which distributes tasks for a collective goal.
- Organization is the foundation upon which the whole structure of management is built.
- It is the backbone of management Organizations are human associations.
- There are a variety of legal types of organizations, including: corporations, governments, non-governmental organizations, international organizations, armed forces, charities, not-for-profit corporations, partnerships, cooperatives, and universities.

CHARACTERISTICS OF ORGANIZATION

- There should be two or more people and perform various function
- Organizations are goal oriented. They are created to achieve common goals.
- Organizations have continuity
- Organizations use technology to transform inputs into out puts
- Organizations have structures
- Organizations are open system
- Organizations are of many types: business, government, service, unions, international, political, cultural, etc.
- Organizations have several level- top, middle, lower as well as differentiated functions
- An Organization is managed by its leader

Types of Organization

1. Formal Organization
2. Informal Organization
3. Virtual Organization

Formal Organization

- Formal Organization has a structure that is consciously designed to enable the people of the organization to work together for accomplishing common objectives.
- Thus, formal Organization is more or less arbitrary structure to which the individual must adjust.
- It tells individual members to do certain things in specific manner to obey orders from designated individuals and to cooperate with others.
- Coordination also proceeds according to a prescribed pattern in the formal Organization structure.

Formal Organization is built on certain principles, i.e. around four key pillars, namely,

(a) division of labor, i.e. the whole work is divided into a number of small operations and each operation is performed by a different person so that there is maximum specialization

(b) scalar and functional processes, which implies that the Organization grows both vertically and horizontally,

(c) structure, which refers to the overall arrangement ensuring proper balance between different parts of the organization and secures the execution of all operations and the achievement of organizational objectives

(d) span of control, refers to the number of subordinates directly reporting and accountable to one superior.

Characteristics of formal organization

- It is deliberately created by management
- It is created to accomplish predetermined goals
- It is based on division of work and job specialization
- Authority-responsibility of every position is clearly defined
- Communication channel is through scalar chain
- Members are guided by formal policies, plans, rules and procedures.
- It has long life in terms of continuity
- Much emphasis is placed on efficiency, discipline, conformity, consistency and control
- It is slow in adapting in environmental changes.

Criticisms of Formal Organization:

- individuals are ignored in determining the interactions, communication and accountability;
- the ideal relationship assumes that rational human beings will stick to rules and regulations but such assumption is hard to find in reality;
- Assumption that punishment or reward always brings a reaction among humans (rabble hypothesis) also fails to succeed as humans are not always motivated by rewards and punishment.;
- Rules and regulations of a formal Organization is too rigid and not sensitive to changing times and circumstances, thus becomes difficult over time to achieve the goals of the organization.

Informal Organization

- Informal organizations refers to the relationship between people in the organization based on personal attitudes, emotions, prejudices, likes, dislikes, etc.
- These relations are not developed according to procedures and regulations laid down in the formal organization structure; generally large formal groups give rise to small informal groups.
- These groups are not preplanned; rather develop automatically/spontaneously according to the organizational environment.

- Informal structure created within an organization
- Based on the factors like same language, culture, languages, personal attitudes, same tastes or any other factors
- Informal organization exerts a strong influence on employee behaviors, if management can understand its nature, it can contribute to organization's productivity
- Are formed informally within the organization, by socializing and interpersonal relationships within the individuals over the breaks, or other social functions
- Not necessarily formed to accomplish the organization goals, rather formed to fulfill the social activities
- An informal leader is chosen within the informal organization who can have greater power than the formal leader over getting things done in the organization

Characteristics of informal organization

- It is unplanned and spontaneous.
- It is based on common interest, attitude and work related needs.
- It results from human interactions or social relationship.
- It has no written plans, policies, rules and procedures
- It is guided by customs, conventions culture, group norms, values and belief.
- Its membership is voluntary
- It quickly adapt the environmental change
- It has tendency to resist changes within the group.

Characteristics of informal organization

- The communication is through grapevine or informal channel.
- It coexists with the formal organization
- Its primary focus is person
- It has informal system of reward and punishment
- Its goals are not well-defined and consistent
- Power in informal organization is given by group members rather than delegated by manager
- They do not have well defined tasks; nor they divided and subdivided
- The relationship is interpersonal not impersonal

Advantages of informal organization

- Provides sense of belonging and security to members
- Acts as a safety valve for emotional problems
- Members get help on the job from one another
- Serves as an important channel of communication
- Social control through group norms is possible
- Authority of members can be kept under check
- Reduces need for close supervision by management
- Employees reaction about proposed managerial actions can be known in advance

Disadvantage of informal organizations

- Resistance to change
- Rumor spreading
- Interference on management decision
- Group think philosophy
- Role conflict and sub-optimization

Reasons for emergence or need for informal organization

- To fulfill social security, affiliation, esteem, etc.
- To work in close proximity with group.
- To share view with people with similar social, cultural, economic, etc. composition
- To interacts with others.

Virtual Organization

Virtual Organization (VO) is a group of people or companies that work together remotely to achieve a common goal, using modern Information Technology to communicate and collaborate.

Features:

VOs have no fixed location, and employees can be based anywhere in the world. They use technology to work together in real-time, often across multiple time zones.

Benefits:

VOs can be dynamic and versatile, adapting quickly to change. They can also scale to meet demand.

Challenges

VOs can face challenges such as communication difficulties, isolation, coordination difficulties, and security concerns.

Management

Measuring the effectiveness of a VO can be challenging because of the dynamic nature of the organization and the virtual environment. Business Activity Monitoring (BAM) is an approach that can help monitor a VO's effectiveness by tracking key performance indicators (KPIs) in real-time.

Components of a virtual organization

Each virtual organization is unique, although they often include many of the same components for optimal operations, like a remote workforce and company-specific technology networks. Other components of a virtual organization may include:

- A flat organization structure with less middle management
- Virtual teams
- Loose organizational structure
- Boundaries and expectations
- Power flexibility
- Informal communication

Benefits of a virtual organization

- Lower overhead costs
- Improved employee satisfaction
- Improved efficiency
- Larger hiring market
- Flexible hours
- Improved employee retention
- Access to new markets

Challenges of a virtual organization

- Lack of socialization
- Difficulty developing company culture
- Increased importance of communication
- Potential compliance and security issues

Engineering Management

- Engineering management is a field that combines business management and engineering to help organizations achieve common goals
- It is the application of engineering methods, tools, and techniques to business management systems.
- Engineering management is a career that brings together the technological problem-solving ability of engineering and the organizational, administrative, legal and planning abilities of management in order to oversee the operational performance of complex engineering-driven enterprises.

Importance of Management in Technology Driven Environment

Management is important in a technology-driven environment because it helps businesses:

Adapt to change

- Technology is constantly evolving, and effective technology management helps businesses adapt to new demands and expectations.

Improve efficiency

- Technology management can reduce operational costs and enhance overall efficiency.

Align IT with business goals

- Technology management helps businesses view IT as a strategic asset, and align IT investments with their overall business objectives.

Improve decision-making

- Technology managers can inform strategic decision-making by predicting trends and risks.

Improve customer experience

- Businesses that manage their technology well can deliver better customer experiences.

Improve profitability

- Technology management can transform IT services from a cost to an enabler of profitability.

Some key objectives of IT management include: Boosting operational efficiency, Ensuring security, Managing risks, and Aligning IT with business goals.

Engineering Functions in an Organization

- The primary role of engineers in an organization is to use their technical knowledge to create products, structures, and processes that are valuable to the organization and its customers.
- Here are some other functions of engineering in an organization:
  - Communication
  - Collaboration
  - Team building
  - Product development
  - Decision-making
  - Continuous learning
  - Leadership
  - Organizational skills
  - Project documentation

Product Development

It is the process of creating a new product, improving an existing one, or introducing a product to a new market. It involves a number of steps, including:

- Researching: Conducting market research to understand customer needs
- Ideating: Brainstorming and generating ideas for the product
- Prototyping: Creating a prototype of the product
- Testing: Testing the product and gathering feedback from customers
- Launching: Launching the product to the market in collaboration with marketing

Operation and IT Systems

IT operations are the processes and practices that ensure IT systems and services are available and reliable for business needs. IT operations teams are responsible for a number of tasks, including:

- Help desk operations: Ensuring users can access the tools and systems they need to be efficient
- Device management: Improving the quality and efficiency of IT resources
- Network infrastructure: Ensuring the success of the entire IT infrastructure
- Configuration management: Managing IT assets to maintain productivity
- Performance measurement: Measuring the performance of IT operations

Quality Assurance

It is a systematic process to ensure that products or services meet the expectations of customers and other stakeholders. It involves a range of activities, including:

- Monitoring: Keeping track of customer interactions, such as calls and chats, to ensure quality standards are met
- Evaluating: Assessing whether a team is complying with legal and company regulations, and offering a quality service in a consistent way
- Preventing defects: Designing, documenting, and building quality into processes to prevent defects
- Auditing: Comparing actual conditions with requirements and reporting the results to management

Roles and Responsibilities of an Engineering Manager

An Engineering managers should have strong analytical, communication, and organizational skills. They should also be able to tackle problems on a larger scale and stay up to date on the latest research.

An engineering manager is responsible for many tasks, including:

- Team Management: Hiring, training, and evaluating engineering staff, and ensuring their development
- Technical Leadership: Being the technical lead for technical decisions, and staying up to date on related technologies
- Communication: Ensuring effective communication between team members, other stakeholders, and intra teams

- Leadership: Inspiring and motivating the team, resolving conflicts, and improving cooperation
- Quality assurance: Helping the staff run tests or troubleshoot issues with prototypes
- Progress monitoring :Gauging progress to ensure engineering goals are being met
- Reporting: Preparing progress reports and status updates to share with clients or key stakeholders

Thank You

Unit 2

Planning and Organizing

Planning and Organizing

- Manager must be able to plan and organize the work of the work-unit and groups, using goal setting, objectives, targets, creating work schedules and work-plans with associated budgets and resources, according to the Department’s procedures, in order to achieve the tasks, functions and results/outputs required of the work-unit.

- Key Words: Schedule Work; Organizing; Allocate Resources; Achieves Results; Develop Plans.

Behavioral Indicators :

- Develops annual plans for the work unit.
- Analyses goals and schedules component tasks accordingly.
- Organizes and prioritizes tasks so they can be performed within the budget and to achieve the most efficient use of time.
- Sequences activities and develop schedules.
- Identifies and allocates resources.

Planning

- A plan is a predetermined course of action.
- It is a blue print for goal achievement.
- Simply stated, it is setting goals and deciding how to achieve them.
- Planning is deciding in advance what to do, how to do it, when to do it and who is to do it.
- It bridges the gap from where we are to where we want to go

Characteristics of Planning

Planning is goal-oriented: All plans arise from objectives. Objectives provide the basic guidelines for planning activities. Planning has no meaning unless it contributes in some positive manner to the achievement of predetermined goals.

Planning is a primary function: Planning is the foundation of management. It is a parent exercise in management process. It is a preface to business activities.

Planning is all-pervasive: Planning is a function of all managers. It is needed and practiced at all managerial levels. Planning is inherent in everything a manager does.

Planning is a mental exercise: Planning is a mental process involving imagination, foresight and sound judgment. Planning compels managers to abandon guesswork and wishful thinking. It makes them think in a logical and systematic manner.

Planning is a continuous process: Planning is continuous. It is a never-ending activity. It is an ongoing process of adjustment to change. There is always need for a new plan to be drawn on the basis of new demands and changes in the circumstances.

Planning involves choice: Planning essentially involves choice among various alternative courses of action. If there is one way of doing something, there is no need for planning. The need for planning arises only when alternatives are available.

Planning is forward looking: Planning means looking ahead and preparing for the future. It means peeping into the future, analyzing it and preparing for it. Managers plan today with a view to flourish tomorrow. Without planning, business becomes random in nature and decisions would become meaningless, ad hoc choices.

Planning is flexible: Planning is based on a forecast of future events. Since future is uncertain, plans should be reasonably flexible. When market conditions change, planners have to make necessary changes in the existing plans.

Planning is an integrated process: Plans are structured in a logical way wherein every lower-level plan serves as a means to accomplish higher level plans. They are highly interdependent and mutually supportive.

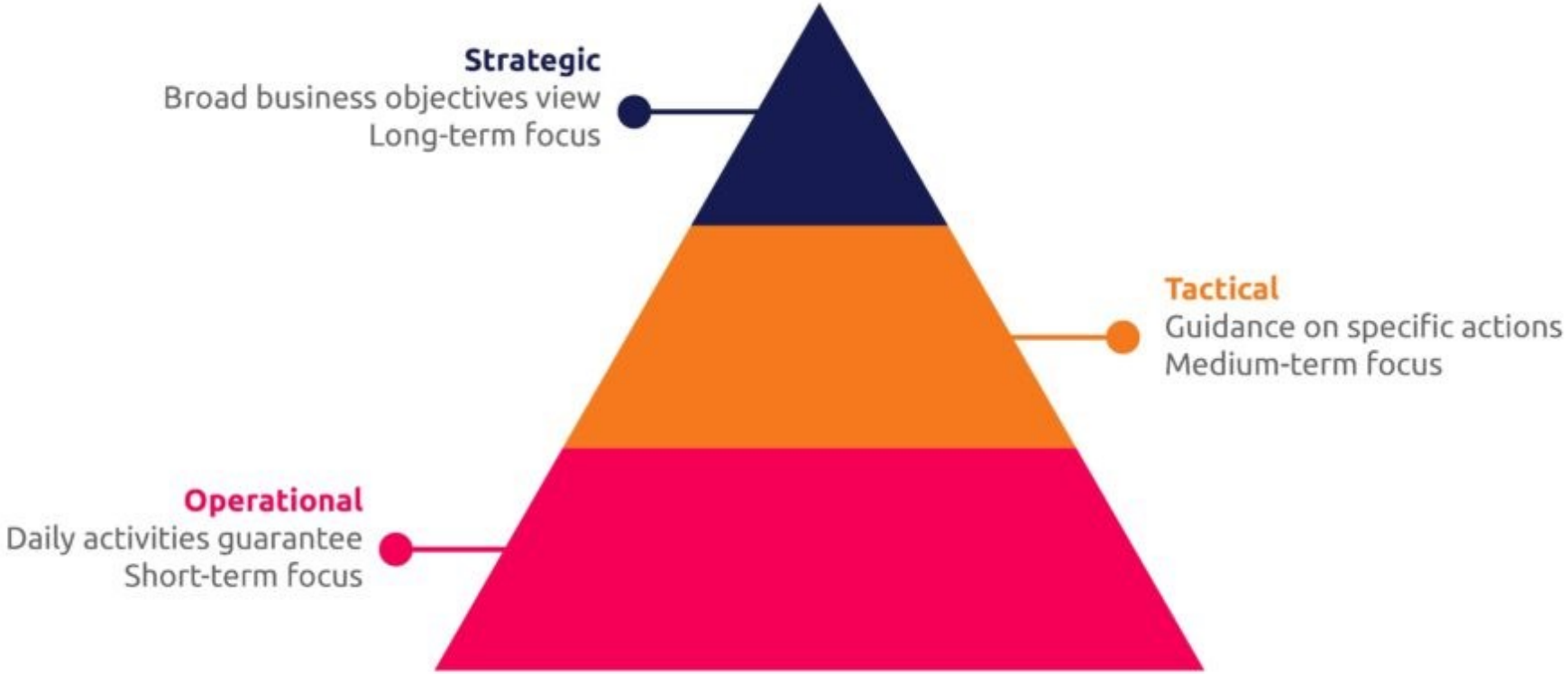
Planning includes efficiency and effectiveness dimensions: Plans aim at deploying resources economically and efficiently. They also try to accomplish what has been actually targeted. The effectiveness of plans is usually dependent on how much it can contribute to the predetermined objectives.

Limitations/Criticisms of Planning

- Rigidity
- Costly and time consuming
- Employee resistance
- False sense of security
- Managerial deficiencies due to intellectuality ability.
- Planning prevents innovation
- External Limitations
  - Difficult to predict
  - Projected too far into the future
  - Environmental turbulence
  - Emergency situations

Types of Planning

- Strategic Planning
- Tactical Planning
- Operational Planning



Strategic Planning

- It involves decisions about the organization's long-term goals such as survival, growth etc.
- It involves setting long term objectives (by top management) and deciding about the judicious deployment of resources to achieve those objectives.
- Strategic planning, thus, is long-term in nature.
- It tends to be a top management responsibility.
- It requires looking outside the organization for threats and opportunities.
- It also requires looking inside the organization for finding out weaknesses and strengths.

Strategic Planning

- It affects many parts of the organization, as its decisions have enduring effects that are difficult to reverse.
- It tries to equip the organization with capabilities needed to confront future uncertainties, by taking a holistic view of the entire organization.
- Its focus is clearly on the ‘jungle, not the trees’. The main objective is to position the firm in an advantageous position in relation to the environment, keeping the firm’s own capabilities in mind.

Example: In business, it means how much money is going to be dedicated to a project, and by when you expect the project complete. In personal life, suppose you plan a wedding, it means deciding on the budget and the date.

Tactical Planning

- It translates broad strategic goals and plans into specific goals and plans that are relevant to a definite portion of the organization, such as a functional area like marketing or human resources.
- Tactical plans focus on a major actions a unit must take to fulfil a part of the strategic planning.
- They are often focused on 1-2 years in the future.
- This is the implementation of the strategic plan stage combining your available resources, look at obstacles, and review alternatives.

- Example: In business, it means an analysis of resource combination, planning for obstacles, and general timetable. In personal life, for the wedding, it means, finding the place, developing a guest list, deciding on a menu and music.

Operational Planning

- Operational planning identifies the specific procedures and processes required at lower levels of the organization.
- Frontline managers usually focus on routine tasks such as production runs, delivery schedules, and human resource needs etc.
- They typically focus on the short term, usually 12 months or less.
- These plans are the least complex of the three and rarely have a direct effect or other plans outside of the department or unit for which the plan was developed.

- Example: In business, it means engaging the team, develop and answer the who, what, when, where, how management questions. In personal life, for the wedding, it means, choosing the band, finding the caterer, decide on flowers, etc.

Conculsion….

- For a plan to be fully effective, the organization's strategic, tactical and operational plans must be aligned – that is, they must be consistent, mutually supportive and focused on meeting the common purpose and direction.

Planning of Apple.inc

- At the strategic level, Apple defined the vision of creating innovative products, combining elegant design and advanced features.
- At the tactical level, the company developed marketing strategies to position its products as objects of desire and established partnerships to ensure the availability of key components.
- At the operational level, the company focused on ensuring product quality and defining an efficient chain to meet global demand.

Planning of McDonald

Another famous example is the McDonald’s network.

- At the strategic level, they set the goal of becoming the most recognized fast-food company in the world.
- At the tactical level, they implemented global expansion strategies, adapting their products and operations to meet different cultures and regional preferences.
- At the operational level, McDonald’s standardized processes, employee training, and quality controls, ensuring consistency of products and services in all its stores.

Steps in Planning

- **Establishing objectives**: The first step in the planning process is to identify the goals of the organization. The internal as well as external conditions affecting the organization must be thoroughly examined before setting objectives. The objectives so derived must clearly indicate what is to be achieved, where action should take place, who is to perform it, how it is to be undertaken and when is it to be accomplished. In other words, managers must provide clear guidelines for organizational efforts, so that activities can be kept on the right track.

- **Developing premises**: After setting objectives, it is necessary to outline planning premises. Premises are assumptions about the environment in which plans are made and implemented. Thus, assumptions about the likely impact of important environmental factors such as market demand for goods, cost of raw materials, technology to be used, population growth, government policy, etc. on the future plans are made. Plans should be formulated by the management, keeping the constraints imposed by internal as well as external conditions in mind.

- **Evaluating alternatives and selection**: After establishing the objectives and planning premises, the alternative courses of action have to be considered. The pros and cons as well as the consequences of each alternative course of action must be examined thoroughly before a choice is made.

- **Formulating derivative plans:** After selecting the best course of action, the management has to formulate the secondary plans to support the basic plan. The plans derived for various departments, units, activities, etc., in a detailed manner are known as ‘derivative plans’. For example, the basic production plan requires a number of things such as availability of plant and machinery, training of employees, provision of adequate finance, etc. To ensure the success of a basic plan, the derivative plans must indicate the time schedule and sequence of performing various tasks.

- **Securing cooperation and participation:** The successful implementation of a plan depends, to a large extent, on the whole-hearted cooperation of the employees. In view of this, management should involve operations people in the planning activities.

- **Providing for follow-up:** Plans have to be reviewed continually to ensure their relevance and effectiveness. In the course of implementing plans, certain facts may come to light that were not even thought of earlier. In the light of these changed conditions, plans have to be revised. Without such a regular follow-up, plans may become out-of-date and useless. Moreover, such a step ensures the implementation plans along right lines.

There are many tools that can help with planning, including project management tools, strategic planning tools, and other tools.

SWOT analysis

- A strategic planning tool that stands for strengths, weaknesses, opportunities, and threats.

ClickUp

- A project management tool that helps teams prioritize tasks and organize strategic plans.

Asana

- A project planning tool that combines project planning, task management, and collaboration tools.

Trello

- A project management tool that uses boards and cards to manage projects and tasks.

PEST analysis

- A strategic planning tool that helps businesses assess political, economic, social, and technological factors that may impact their business.

Jira

- A tool for planning, tracking, and releasing software projects.

Kanban Tool

- A visual management solution that helps companies visualize workflow, track project progress, and analyze business processes.

Balanced Scorecard

- A strategic planning tool that focuses on both operational and financial factors.

When choosing a project planning tool, you can consider things like:

- User-friendliness: How easy it is for your team to use and navigate the tool
- Integration: Whether it integrates with other apps you're using
- Suitability for your project type: Whether the tool supports the types of projects you usually manage

Importance of Planning

- Planning provides direction
- Planning provides a unifying framework
- Planning is economical
- Planning reduces the risks of uncertainty
- Planning facilitates decision making
- Planning encourages innovation and creativity
- Planning improves ethics and morale
- Planning facilities control

Organizing

- Organizing is the process of arranging resources and coordinating people to achieve a common goal. It's a management function that follows after planning.

Process of organizing

- **Assigning tasks**: Tasks are assigned to individuals and groups.
- **Grouping tasks**: Tasks are grouped into departments.
- **Delegating authority**: Authority and responsibility are delegated to employees.
- **Allocating resources**: Resources are allocated across the organization.
- **Establishing relationships**: Relationships are established between activities and resources.
- **Coordinating**: Managers coordinate employees, resources, policies, and procedures.

Organization Structure

- An organizational structure consists of activities such as task allocation, coordination and supervision, which are directed towards the achievement of organizational aims.
- It can also be considered as the viewing glass or perspective through which individuals see their organization and its environment.
- According to Stoner—organizational structure is the way in which an organization‘s activities are divided, organized and coordinated.
- An organization can be structured in many different ways, depending on their objectives

Types of organization structure

- In our country most widely, these 2 types of Organization Structures are used and widely implemented.

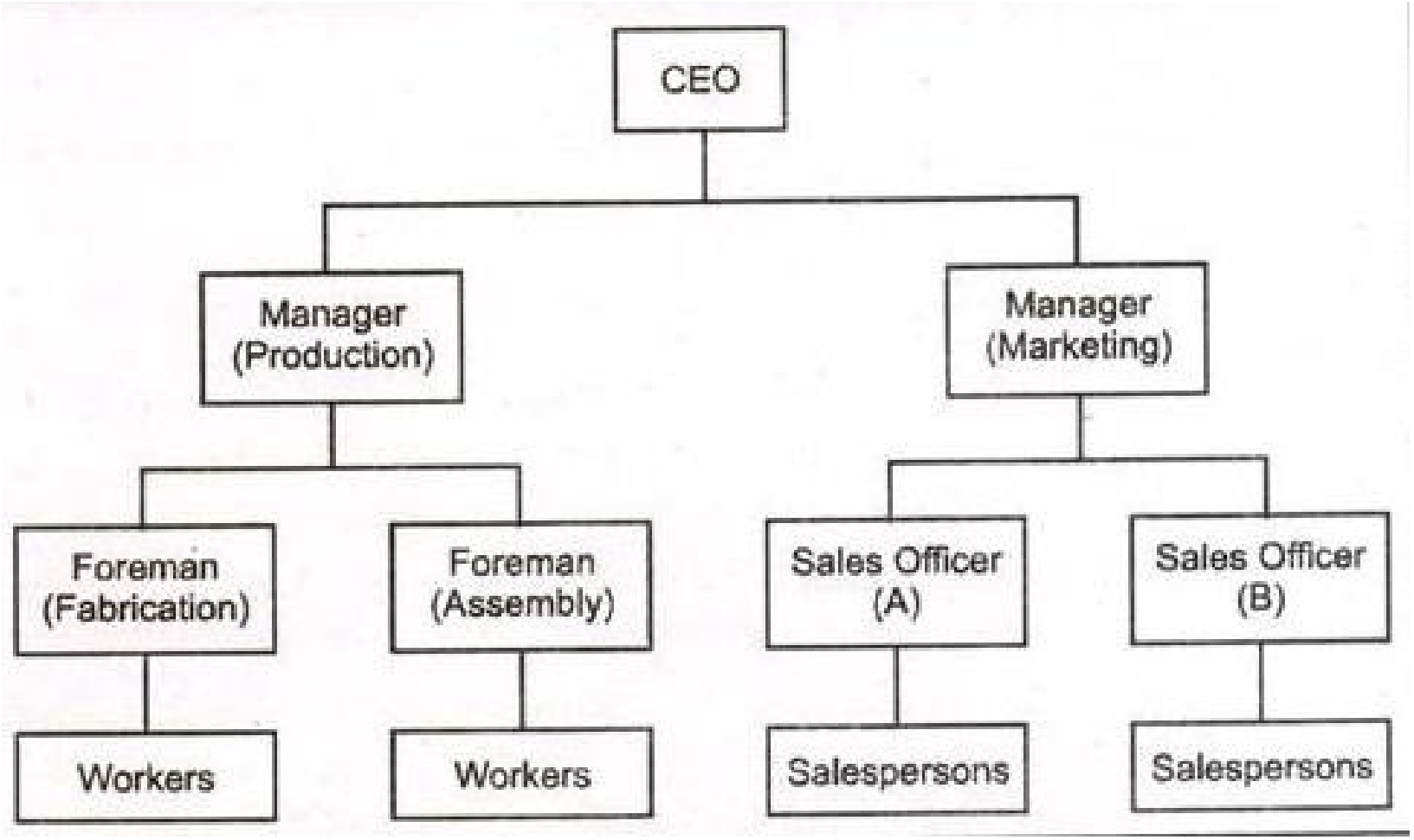
Traditional Structure

1. Line organization/scalar structure/military organization
2. Line and staff organization
3. Functional organization

Modern Structure

1. Matrix
2. Network
3. Hybrid

Line organization/scalar structure/military organization



Characteristics of Line Organization

- Oldest form of organization
- There is direct and fixed line of authority between superior and subordinate
- Authority flows from top to down in the organizational hierarchy
- It entitles a manager to direct the work of subordinates
- One employee has only one boss

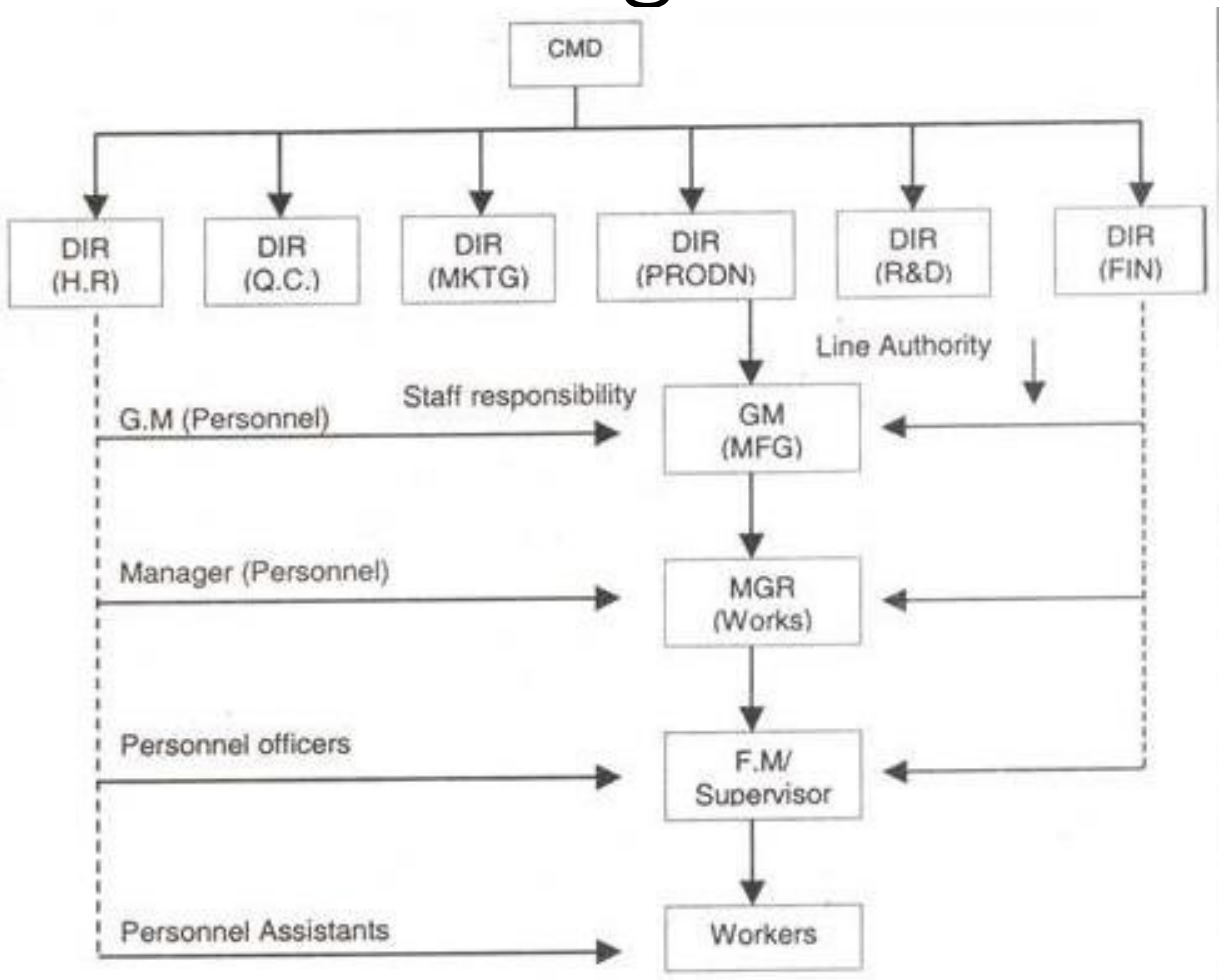
Merits of Line organization

- Simple to design and easy to understand
- Authority-responsibility relationships are clear and definite
- Unity of command
- Managers can make prompt decision within the limits of their authority
- This structure is less expensive because staff specialists are not required
- More flexible on such environment change
- Easy to fix responsibility to each staff

Demerits of Line organization

- Tends to be rigid and inflexible
- Centralization of authority at the top can lead to autocratic behavior
- Superiors are overburdened with diverse jobs
- Nepotism and favoritism prevail due to control of activities
- Generally one way communication from top to bottom
- Lack of expert advice can lead to waste of resources
- Sub optimization emerges because every department works for its own interests.

Line and Staff organization



Legend:

HR – Human Resources
MKTG – Marketing
R & D – Research and Development
MFG – Manufacturing
MGR – Manager

DIR – Director
QC – Quality Control
PRODN – Production
FIN – Finance
GM – General Manager
FM - Foreman

- The previous figure illustrates the line and staff organizational chart.
- The line functions are production and marketing whereas the staff functions include personnel, quality control, research and development, finance, accounting etc.
- The staff authority of functional authority organizational structure is replaced by staff responsibility so that the principle of unity of command is not violated.

Characteristics

- Line and staff organization is characterized by both line and staff position.
- A line portion is a position in the direct chain of command that is responsible for the achievement of an organization's goal.
- Line functions directly contribute to goal accomplishment. It contains the power to make and execute decision.
- A staff position is intended to provide expertise, advice and support for line positions. Staff functions contribute indirectly to goal accomplishment.

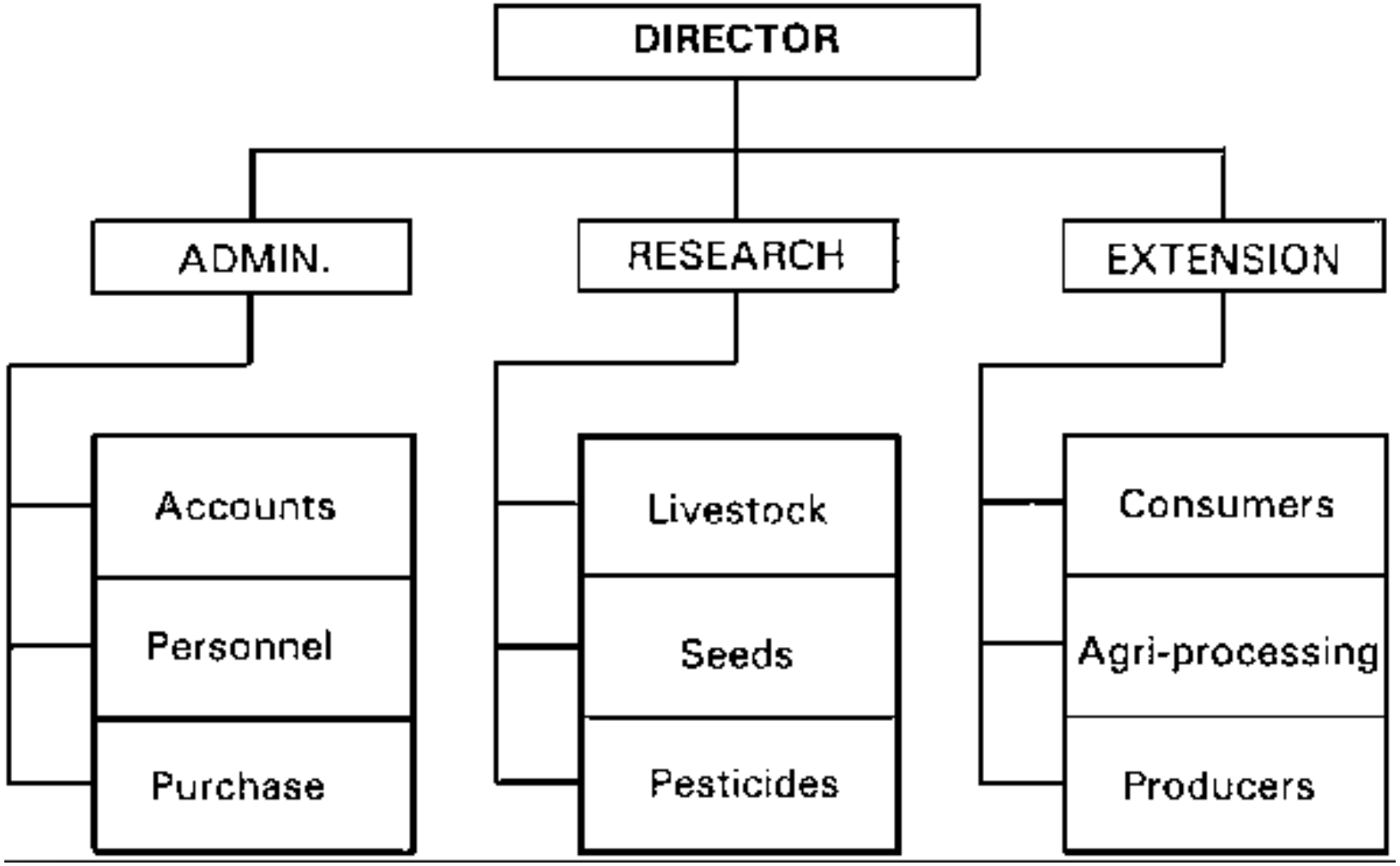
Merits of Line and staff organization

- Staff specialists provide expert advice and services
- Decision making becomes more effective and specialized
- It is based upon planned specialization
- Staff experts do not disturb the scalar chain of command and authority. So discipline and stability can be maintained
- Work load can be balance because staff members take care of information collection and detailed job analysis
- Staff specialists can be added to the line structure when necessary
- Staff specialists provide opportunities for development and advancement to line members as the expert advice help to improve performance

Demerits of Line and staff organization

- Staff members tend to interfere with line authority to get their advice implemented
- Lack of coordination between line and staff members way lead to confusion
- Line members may become over dependent on staff members for decision making
- Staff members may lack practical knowledge
- Expensive because two sets of employees are needed
- Greater chance of conflict, rivalry and jealousy
- Misunderstanding and misinterpretation could pervade

Functional organization



- Functional organization is a type of organizational structure that uses the principle of specialization based on function or role.
- It allows decisions to be decentralized since issues are delegated to specialized persons or units, leaving them the responsibility of implementing, evaluating, or controlling the given procedures or goals.
- Thus a functional organization, in which everyone engaged in one functional activity such as marketing or finance, is grouped into one unit.
- F. W. Taylor-father of scientific management-originally developed the concept of functional structure.
- It is most commonly used by small size organization.

Characteristics of functional organization

- Organizational members are grouped into functional departments
- It focuses on specialization as every manger concentrates on a particular function
- Establish definite relationship between divided units
- It focuses only on organizational functions such as marketing, finance, rather than the basic managerial functions such as planning or controlling
- A subordinate refers to multiple bossed for different functions

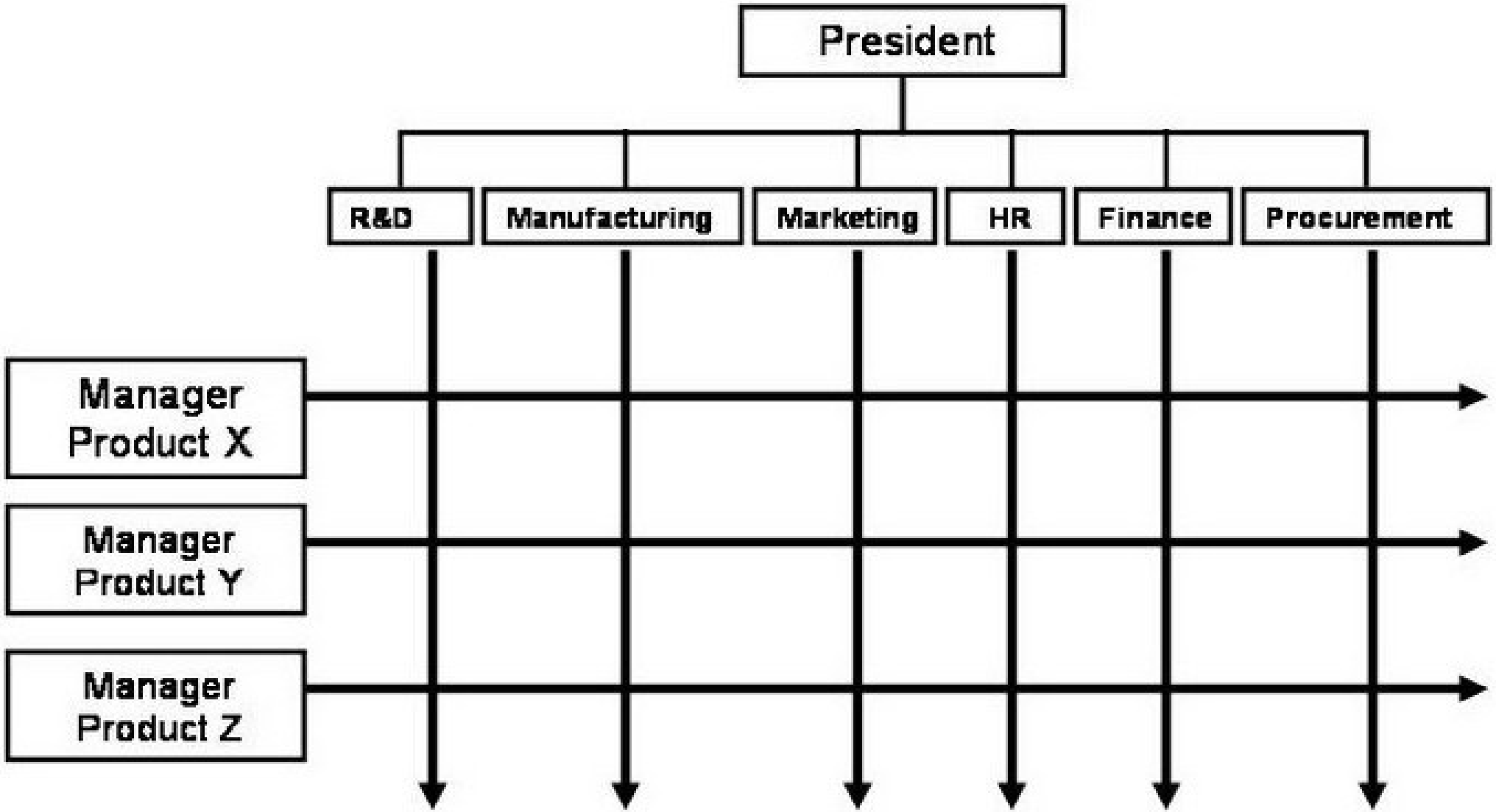
Merits of Functional organization

- It facilitates work specialization
- It allows coordination within function
- Specialists mangers increase efficiency
- Increase in operational efficiency
- It makes supervision easier since each manager must be expert in only a narrow range of skills
- Makes easier to mobilize specialized skills and bring them to bear where they are most needed
- Facilitates career progression within functional areas
- Overburden of work is reduced

Demerits of Functional organization

- It can be difficult to get quick decision because functional manager has to report to top authority
- problems and difficulties of multiple command
- It is often harder to determine accountability and judge performance because a subordinate is related to his functions in all department
- It is more complicated in operation
- lack of well-defined responsibility
- There can be self-centered narrow departmental focus

Matrix Structure



- A matrix structure provides for reporting levels both horizontally as well as vertically.
- Employees may be part of a functional group but may serve on a team that supports new product development.
- This kind of structure may have members of different groups working together to develop a new product line.
- The advantage of a matrix organizational structure is that employees have responsibility not only for their department but for organizational projects.
- A challenge with this type of structure presents itself when employees are given direction from two different managers and they need to prioritize their work responsibilities.

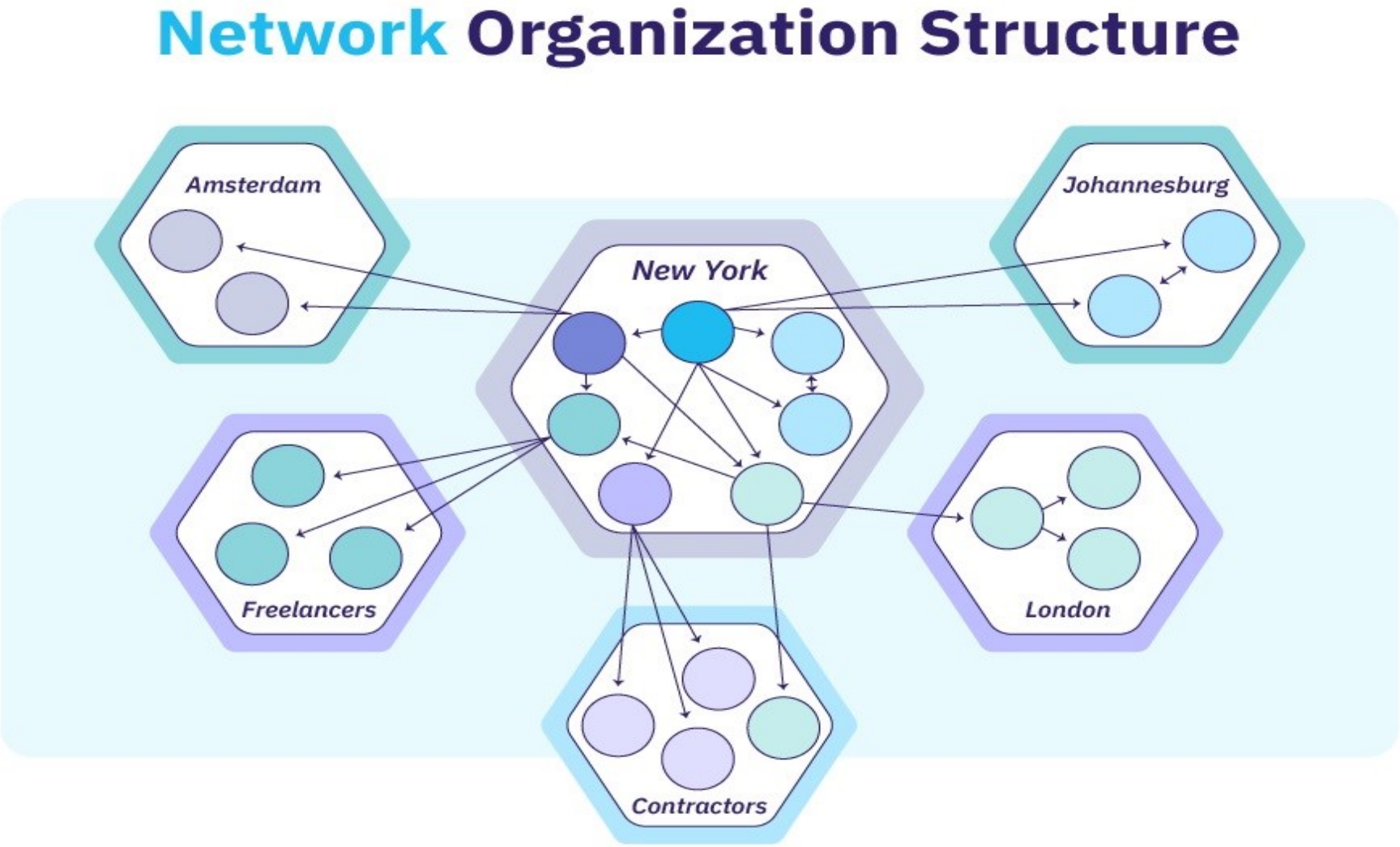
Advantages

- Decentralized decision making.
- Strong product/project co-ordination.
- Improved environmental monitoring.
- Fast response to change.
- Flexible use of resources.
- Efficient use of support systems.

Disadvantages

- High administration cost.
- Potential confusion over authority and responsibility.
- High prospects of conflict.
- Overemphasis on group decision making.
- Excessive focus on internal relations.

Network


Network Organization Structure
Amsterdam
Johannesburg
New York
Freelancers
London
Contractors

- It is a decentralized company structure that operates as a network of autonomous businesses or business units as opposed to a traditional centralized, hierarchical structure.
- Each unit is responsible for its own profit and losses, and all units share a common goal of maximizing the value of the network as a whole. Units can share resources and collaborate where it makes sense to do so commercially. Units can be under the same consumer brand or operate under independent brands.
- This type of organizational design delivers work through a network of working relationships that can exist within the context of a market, product, project, or function. This type of design is popular in global and multi-national organizations, the FMCG sector, and telecommunications, where scale, flexibility, and localization are critical to achieving success.
- It should be structured as a network of teams instead of a hierarchy of departments and individual managers to allow for more flexibility and adaptability to changing market conditions.

- There are a number of benefits to this type of structure. These include improved communication, decreased bureaucracy, and increased creativity and innovation. Networks are also better able to respond to change, which is becoming an increasingly important factor in the modern business landscape.

Network organization examples

- KFC
- Starbucks
- Zara
- Domino’s Pizza
- Pizza Hut

Types of network organizations?

1. Functional network organization

- A functional network organization is one in which the members are organized by their function within the company. So, you might have marketing, sales, and customer service departments all working together to achieve the company's goals.

2. Product network organization

- A product network organization is one in which the members are organized by their product lines. So, you might have a soft drink division, a snack food division, and a cereal division, all working together to create products for sale.

3. Market network organization

- A market network organization is one in which the members are organized by their market segments. So, you might have a children's clothing division, a women's clothing division, and a men's clothing division all working together to create products for different markets.

4. Geographical network organizations

- A geographical network organization is one in which members are organized according to geographical region. For example, you might have all the business units in Europe, Middle East, and Africa organized into the EMEA region. The South American businesses would fall within the LATAM region.

5. Agile network organizations

- An agile network organization is one where members are organized around a specific task or goal before disbanding. Examples include project teams that are pulled together across various business units to collaborate on a specific project for a designated period of time before moving back to their business units.

Advantages

- Strong employee motivation
- Outsourcing and partnerships
- Flexibility and task resolution
- Decentralized decision-making
- Non-bureaucratic executives
- Coordination and control
- Dynamic team formation
- Specialization
- Collaboration and innovation
- Adaptability
- Resilience

Disadvantages

- Difficult to maintain a sense of control
- Disunity and delay in meeting deadlines and company targets
- Risk of duplication occurring
- Difficult to make decisions or take action when needed.

Hybrid Organization Structure

- Hybrid organization is one that mixes elements, value systems and action logics (e.g. social impact and profit generation) of various sectors of society, i.e. the public sector, the private sector and the voluntary sector.
- A more general notion of hybridity can be found in Hybrid institutions and governance.

- According to previous research organizations under hybrid between public and private spheres consist of following features:
  1. Shared ownership
  2. Goal incongruence and different institutional logics in the same organization
  3. Variety in the sources of financing
  4. Differentiated forms of economic and social control

Main organizational elements of Hybrid Organization?

The hybrid organization comprises four major organizational elements:

1. **Core structure or backbone** – it secures the overall strategy, governance and synergies across the corporation

2. **Functional units** – they assure the operational excellence, protection and further development of the company's key capabilities, skills, and competencies

3. **Agile units** – they operate closely to/with the customer and the market. They execute the operational business, especially in volatile environments.

4. **Shared services** – they represent the interface between the agile (3.) and the functional (2.) units

Some hybrid business examples

- Public service organizations founded by societal actors, such as most social housing providers, public schools, and hospitals (in the European setting);
- Organizations in the public sector that act like businesses, such as state-owned enterprises that compete in the marketplace;
- Franchises, joint ventures, and business groups are examples of private sector organizations.
- Associations, particularly trade associations, often combine impact-oriented operations (public relations, lobbying, special interest groups) with profit-oriented activities (e.g., events, seminars, consulting) through a subsidiary, usually a wholly-owned subsidiary.
- Microfinance institutions

- Hybrid corporations that engage in corporate social entrepreneurship in order to advance social and environmental goals while also generating profits for shareholders

Advantages of Hybrid Organization?

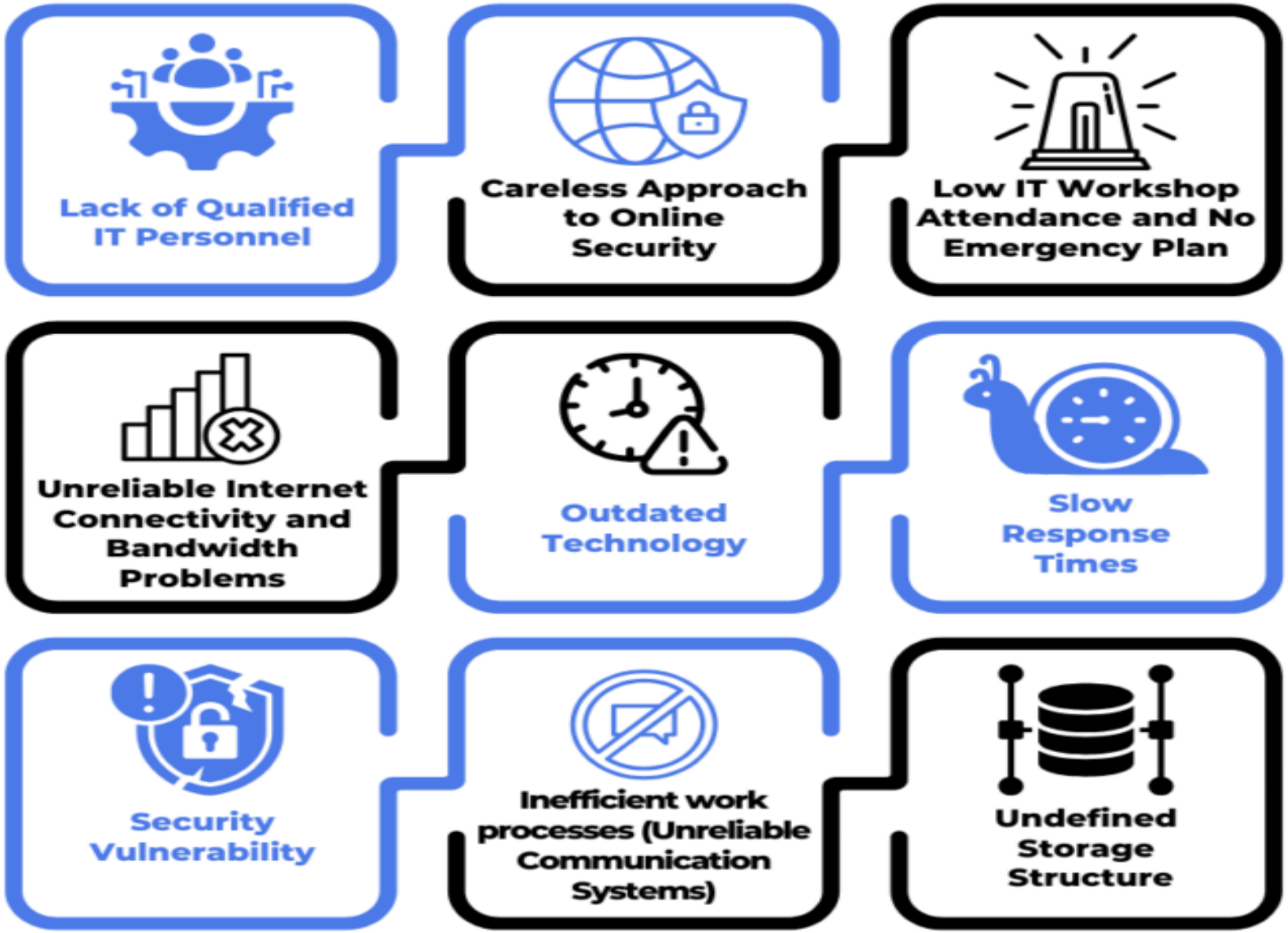
- Increased efficiency
- Development of cross-functional skills
- Flexibility

Disadvantages of Hybrid Organization?

- Conflicts
- Too much administration overhead:

Emerging Planning and organizing issues for ICT enterprises

- According to recent studies, most of the ICT enterprises generally suffers from these 9 common problems.



Thank You

Unit 3

Motivation and Leadership

- Comes from Latin word ‘Mover 'which means to move.
- Thus, motivation literally means to act or move.
- It is an inner impulse that includes a person to act on a desired direction.
- The process of influencing or stimulating a person to take action by creating a work atmosphere wherein the goals of the organization and needs of the person are satisfied
- Internal and external factors that stimulate desire and energy in people to be continually interested in and committed to a job
- Different people have different form of motivation. Rewards, punishment, monetary incentives etc

Types of Motivation

- Intrinsic VS Extrinsic Motivation
- Intrinsic
  - When you want to do something in an organization
  - Means that the individuals motivational thoughts are coming from within
  - The individual is driven by an interest or enjoyment in the task itself, and doesn’t rely on the external rewards
  - Engages in completing the task willingly as well as to improve their skills

- Extrinsic
  - When someone else wants you to do something in an organization
  - The desires to perform the task are controlled by an external source
  - When someone else want you to do something in an organization, offering certain rewards, fear of punishment

- Positive VS Negative Motivation

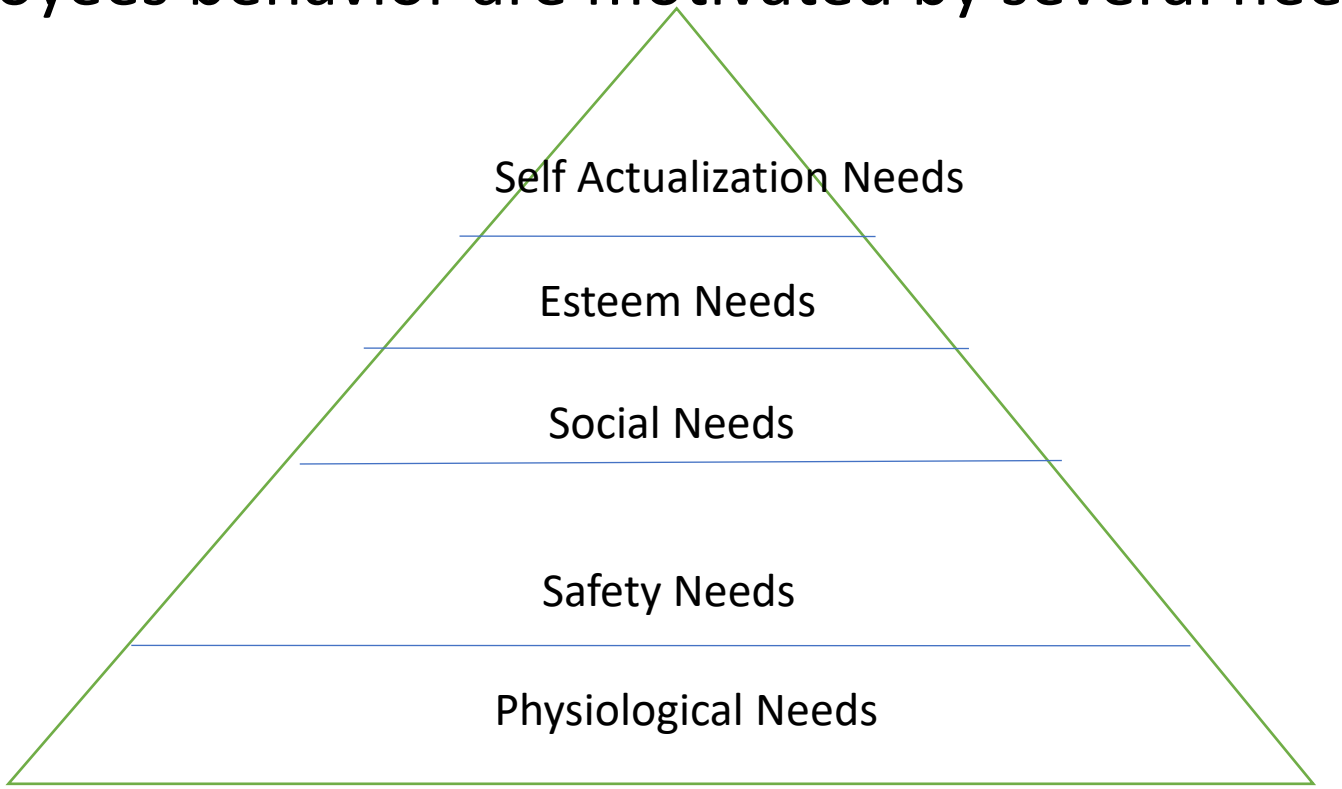
Positive Motivation
Extrinsic Motivation
Complete this task and you will be rewarded
I want to complete this task
Intrinsic Motivation
Complete this task or you are fired
I don’t want to complete the task
Negative Motivation

Theories of Motivation

- Maslow’s Hierarchy,
- Herzberg’s Two Factor,
- Expectancy,
- Equity

Maslow’s Hierarchy

- Abraham Maslow, 1940’s
- Employees behavior are motivated by several needs



Physiological needs

- Basic needs for sustaining human life, food, water, shelter, sleep
- Organization helps fulfill these needs by providing, comfortable workspace, adequate wages and suitable working hours

Safety Needs

- After physiological needs are fulfilled, human tend to safety needs
- Protection from physical danger, economic security
- Organization can provide safer work conditions, pensions for future, and other income protection plan

Social Needs

- Important motivator of employee behavior
- Individual wants to belong to a group, gain acceptance from fellow workers, wants interaction with others in the form of friendship, giving and receiving love

Esteem Needs

- A feel of personal achievement, recognition and representation from others, self esteem, respect
- Organization can recognize their employees achievements, high performance through publicly recognizing them via newsletters or company programs
- Assign more important works

Self Actualization needs

- Highest need level, a feeling that the person’s full potential has been realized
- According to Maslow, only a few person reaches this level
- Organization can offer challenging and meaningful works and assignments that require innovation and creativity

Hertzberg’s Two Factor : Hygiene Factors and Motivation

- Frederick Hertzberg, 1959
- In a workplace there are certain factors that lead to job satisfaction and there are certain factors that lead to job dissatisfaction
- The satisfying factors are called motivators and the dissatisfying are called hygiene factors
- **Hygiene Factors**
  - Employees are primarily motivated by lower level needs such as job security, working conditions, company policies, relationships to fellow employees, relationships to superiors, salary and wages
  - These needs when fulfilled improves from job dissatisfaction to no dissatisfaction and doesn’t necessarily lead to job satisfaction
- **Motivators**
  - The higher level needs for Achievement, recognition for accomplishment, feel of responsibility, opportunities for growth and advancement
  - Motivates individual for better work performance
  - These needs when fulfilled leads from no job dissatisfaction to job satisfaction

Difference between Maslow’s theory and Herzberg’s theory

- Hierarchy of needs: Maslow‘s theory has need hierarchy. Higher order needs become operational after the satisfaction of lower order needs whereas Herzberg‘s theory has no need hierarchy. All needs are operational at all times.

- Motivator: In Maslow‘s theory Unsatisfied needs motivate whereas in Herzberg‘s theory Only higher order needs motivate

- Nature: Maslow‘s theory is descriptive whereas Herzberg‘s theory is prescriptive

- View: Maslow‘s theory is a macro view relevant to all workers whereas Herzberg‘s theory is a micro view relevant to related motivation of Professional workers

Equity Theory

- According to equity theory people are motivated to seek social equity in the rewards they receive for performance.
- Equity is an individual‘s belief that the treatment he or she receives is fair relative to the treatment received by others.
- Individuals view the value of rewards (outcomes) and inputs of effort as ratios and make subjective comparisons of themselves to other people:

Conditions / Reactions to equity comparisons

– Feeling equitably rewarded

- Maintain performance and accept comparison as fair estimate.

– Feeling under-rewarded — try to reduce inequity:

- Change inputs by trying harder or slacking off.
- Change outcomes by demanding a raise.
- Distort the ratios by altering perceptions of self or of others.
- Leave situation by quitting the job.
- Change comparisons by choosing another object person.

- Feeling over-rewarded.

- Increase or decrease inputs.
- Distort ratios by rationalizing.
- Help the object person gain more outcomes.

Expectancy Theory

- According to expectancy theory, the strength of a tendency to act in a certain way depends on the strength of an expectation that the act will be followed by a given outcome and on the attractiveness of that outcome to the individual.
- According to this theory individuals are motivated if they believe that:
  - There is a positive correlation between efforts and performance,
  - Favorable performance will result in a desirable reward,
  - The reward will satisfy an important need,
  - The desire to satisfy the need is strong enough to make the effort worthwhile.

Techniques of Motivation

- It is very important in an organization to keep their employees motivated to keep doing their best towards achieving the organizational goals
- **Provide Meaningful and Challenging work**
  - When employees feel the work they are doing are meaningful and challenging in some way, they feel internally motivated
  - If a employee feels the work they are doing are actually having a big impact in the overall operation of the organization, they generally become more engaged and energized

- **Set clear targets, expectations and measure performance**
  - It is of no point for employees to perform better if they are not clear of the targets they are to meet, or about the expectations from them by the management
  - Management must be clear when they direct their employees about the objective of the organization and what expectation they have from their employees. Management should be able to bring the better performance out of everyone
- **Give regular, direct and supportive feedback**
  - Giving regular feedback about the performance of each employees help them focus on their job better, make any improvements or changes when needed
  - Feedback needs to be timely, specific and presented in such a way that the individual is clear about what behaviors or skills they need to modify (or continue using) in order to improve performance.

- **Value the employees**
  - In a workforce there are also those kind of people who motivates themselves to perform better and they value their responsibility
  - It is important for Management to value these individuals and make sure they are given credit for their work and respected
- **Training and development Programs**
  - Regular training and development programs should be conducted on timely basis for employees to make themselves prepared for the future
  - Employees feel motivated when they know they have better future in an organization and they are being invested for
- **Incentive Programs**
  - Rewards, promotions, benefits, profit sharing, freedom can be provided by managers to motivate their employees

Leadership

- Leadership is the process of influencing people and providing an environment for them to achieve team or organizational activities
- The activity of leading a group of people or an organization or an ability to do so
- An art of motivating a group of people to act towards achieving a common goal
- The leader is an inspiration and director of the action
- Process of influencing people and providing an environment for them to achieve the team or organizational goals
- Leaders arrange the work environment such as allocating resources, defining organizational goals
- For an organization to run smoothly, the top level management who are responsible to make decisions, create infrastructure should have sharp leadership skills
- Without better leadership skills, the company will struggle to sustain in long run

- Great leaders should possess the ability to adapt their behavior and styles according to the situation
- There is a difference between leaders and managers
- All leaders shouldn’t necessarily be managers
- All managers to be successful must possess great leadership skills
- In simple words, a good manager is a leader, but a good leader is not necessarily a manager
- A manager holds a higher position, may lead a team, his functions vary from planning, directing to controlling, whereas a leader might be any one of the team members with strong influence over the others

Qualities of a good Leader

- **Honesty and Integrity**
  - A leader must be trustworthy, and be known to live their life with honesty and integrity
  - A person of honesty and integrity is the same on outside and the inside
  - A leader must have ethical behavior thus the trust of the follower
- **Personality/Confidence**
  - A good leader is confident, in order to lead and set direction, a leader needs to appear confident in person and in leadership roles
  - A leader who conveys confidence towards the proposed objective inspires the best effort from team members
- **Human Skills**
  - Should know how to treat and talk to his members
  - Give respect, give credit to people when due
  - When people feel they that are being treated fairly, they reward a leader with loyalty and dedication

- **Initiative**
  - A good leader must always take an initiative
  - He/she must be able to construct and implement his own plans
  - He/she must do the right thing at the right time without being told by others
- **Innovative**
  - Must have a good imagination and visualization skills
  - Must be able to combine new ideas with old ones and develop new tactics to solve problems
- **Communication skills**
  - A good leader must be an effective and excellent communicator
  - must be a good speaker and writer, must use simple language to give information, instructions and guidance to his followers

- **Discipline**
  - A good leader must be a disciplined person
  - must have respect for the rule and regulations of the organization, this is because his followers will follow his example
- **Committed to excellence**
  - The good leader not only maintains high standards, but also is proactive in raising the bar in order to achieve excellence in all areas
  - there is no greater motivation than seeing the boss down in the trenches working alongside everyone else, showing that hard work is being done on every level

Leadership Style

- The behavioral pattern which a leader adopts is known as the style of leadership
- The leadership style in a particular situation is determined by the leader’s personality, experience, values, nature of followers and the environment

Autocratic Style/Authoritarian Style

- Gives orders which the leader insists shall be obeyed
- Autocratic leaders typically make choices based on their own ideas and judgments and rarely accept advice from followers
- Leaders make all the decisions, little or no inputs from the group members
- Autocratic leadership can be beneficial in some instances, such as when decisions need to be made quickly without consulting with a large group of people
- People who abuse an autocratic leadership style are often viewed as bossy, controlling, and dictatorial, which can lead to resentment among group members

Democratic Style/Participative Style

- A democratic leader is one who gives orders after consulting the group
- Researchers have found that this leadership style is usually one of the most effective and lead to higher productivity, better contributions from group members, and increased group morale
- Policies are worked out in group discussions, and praise and blame will be shared by the group members
- Members of the group feel more engaged in the process, group members are encouraged to share ideas and opinions, even though the leader retains the final say over decisions

Servant and Transformational leadership

- While both servant leadership and transformational leadership focus on empowering and developing individuals within an organization, the key difference lies in their primary motivation:
- Servant leaders prioritize serving others and fostering their well-being, while transformational leaders aim to inspire and motivate individuals towards a shared vision and goals; essentially, servant leadership puts the needs of the team first, while transformational leadership focuses on achieving a larger vision through individual motivation.

Key points about servant leadership:

Focus on serving others:

- The core principle is to lead by serving the needs of the team, putting their development and well-being above personal gain.

Empowerment and autonomy:

- Servant leaders encourage individual decision-making and ownership of tasks, fostering a sense of autonomy within the team.

Relationship building:

- Building strong, trusting relationships with team members is crucial for effective servant leadership.

Listening and understanding:

- Actively listening to team members' concerns and perspectives is vital for a servant leader.

Key points about transformational leadership:

Inspiring vision:

- Transformational leaders articulate a compelling vision for the future, motivating individuals to work towards a common goal.

Intellectual stimulation:

- They encourage creativity, critical thinking, and innovation within the team.

Individualized consideration:

- Transformational leaders provide personalized support and mentorship to each team member based on their needs.

Charisma and role model behavior:

- They often exhibit strong personal charisma and serve as positive role models for their team.

Common between the two

Developing individuals:

- Both servant and transformational leaders focus on fostering the growth and development of their team members.

Positive impact on the organization:

- Both styles can lead to increased employee engagement, productivity, and overall organizational success.

Learning Organization

- A learning organization is the term given to a company that facilitates the learning of its members and continuously transforms itself.
- Organizational learning is an area of knowledge within organizational theory that studies models and theories about the way an organization learns and adapts.
- Learning organizations develop as a result of the pressures facing modern organizations and enables them to remain competitive in the business environment.
- Organization need to learn faster to create a competitive advantage and to develop a customer responsive culture.
- Learning may be single loop and double loop

I. Single-loop learning: In single-loop learning, individuals, groups, or organizations modify their actions according to the difference between expected and obtained outcomes

II. Double-loop learning: Double loop learning is the learning about single-loop learning. In double-loop learning, the entities (individuals, groups or organization) question the values, assumptions and policies that led to the actions in the first place; if they are able to view and modify those, then second-order or double-loop learning has taken place

Benefits of learning organization

- Maintaining levels of innovation and remaining competitive
- Being better placed to respond to external pressures
- Having the knowledge to better link resources to customer needs
- Improving quality of outputs at all levels
- Improving corporate image by becoming more people oriented
- Increasing the pace of change within the organization

Characteristics of learning organization in ICT industry

I. **Systems thinking**: This is a conceptual framework that allows people to study businesses as bounded objects
II. **Personal mastery**: The commitment by an individual to the process of learning is known as personal mastery
III. **Mental models**: The assumptions held by individuals and organizations are called mental models
IV. **Shared vision**: The development of a shared vision is important in motivating the staff to learn, as it creates a common identity that provides focus and energy for learning
V. **Team learning**: Team learning requires individuals to engage in dialogue and discussion; therefore team members must develop open communication, shared meaning, and shared understanding

Challenges for motivating and leading technical workforce

1. Lack of clear and meaningful goals
2. Lack of feedback and recognition
3. Lack of autonomy and empowerment
4. Lack of growth and development
5. Lack of trust and respect
6. Lack of balance and well-being

Stratigies for motivating and leading technical workforce

1. Set attainable goals
2. Provide immediate praise for accomplishments
3. Create an employee incentive program
4. Ensure a healthy work-life balance
   - Encouraging breaks
   - Offering flexible scheduling
   - Providing work-from-home options

5. Create a positive work environment
   - Encouraging autonomy
   - Inspiring creativity and innovation
   - Celebrating both professional and personal milestones
6. Encourage an open-door policy within the workplace
7. Provide opportunities for career development and advancement

8. Promote team collaboration
   - Planning team-bonding activities
   - Teaching conflict-management skills

9. Offer mentorship opportunities
10. Build trust within the team
11. Learn more about individuals

12. Offer help with individual goals
13. Inform team members about company happenings
14. Give frequent feedback
15. Assign manageable workloads

Thank You

Unit 4

Human Resource Management and Control

- It is a tradition approach to managing people in organization. HRM focuses on Human resource administration, compensation, employee welfare and relations. It is discipline control oriented.
- HRM is concerned with compliance of policies and rules.

According to….

Delenno and Robins: Human resource management is the traditional function responsible for the management of human resources.

U.K. Institute of Human resource Management: Human resource management is an integral part of management concerned with people at work and their relationship within an enterprise.

Michael Jucious: Human resource management is that field of management which has to do with planning, organizing, and controlling various operative functions of procuring, developing, maintaining and utilizing labor force to achieve organizational objective.

Objectives of Human resource management

- To best utilize organizational manpower
- To ensure that organizations get the right type of people, in right quantity, at right time and places
- To create and maintain an organizational climate conducive to the development of people
- To establish desirable working relationship among the members of employees
- To maintain a high morale be ensuring the development of highly effective work Group.

Functions of Human resource management

- **Acquisition function**: The prime function of a manager is to ensure that it has the right number and kind of people, at the right places and time. These people work to accomplish goals of the organization. This function includes recruitment, selection, socialization, job analysis etc.

- **Development function**: This function ensures proper competencies of employees to handle jobs. The need for development function arises because competent employee will not remain competent forever and employee would be minimally qualified upon entering the organization. The major development functions of PM are employee training, management development and career development.

- **Utilization function**: This function is concerned with using people productively. It ensures willingness of employees for increasing productivity by doing jobs effectively. The major utilization function of PM includes motivation, performance appraisal, and compensation management.

- **Maintenance function**: This function ensures retention of competent employees in organization. It is concerned with providing those working conditions that employed believes are necessary in order to maintain their commitment to the organization. The major maintenance function of PM is employee discipline, labor relations and employee welfare.

JOB

- What is a job?
  - When the total work to be done in an organization is divided and grouped into packages, we call it a job
  - collection of task, duties and responsibilities performed by an individual in exchange of pay

JOB ANALYSIS, JOB SPECIFICATION AND JOB DESCRIPTION

Job Analysis

- Job analysis is the process of determining the task that makes up the job.
- It is the procedure through which the duties for different positions are determined.
- It also tells about the characteristics of people who should be hired for them. It determines the skills; abilities and responsibilities that are required of an individual to successfully accomplish the job.
- It is systematic investigation of the tasks, duties and responsibilities necessary to do a job.

- Job task: identifiable work activity carried out for a specific purpose. E.g. typing a letter
- Job duty: is a larger work segment consisting of several tasks that are performed by an individual. For e.g. pick up, sort out and deliver incoming call.
- Job responsibilities: obligations to perform certain tasks and duties.
- According to W. French: — “Job analysis is the systematic investigation of job content, the physical circumstances in which the job is carried out and the qualifications needed to carry out job responsibilities. Job analysis has three components; job description, job specification and job performance standards”

Uses of Job analysis

1. Human resource planning
2. Recruitment
3. Selection
4. Placement and orientation
5. Training
6. Counseling
7. Employee safety
8. Job design and re-design
9. Job evaluation

Process of Job analysis (steps)

1. Organizational analysis: linkage between jobs and organizational objectives
2. Collection of job analysis data: required behavior and Human resource qualifications needed to carry out job
3. Selection of representative positioned to be analyzed
4. preparation of job description
5. Preparation of job specification

Job specification

Job specification states human resource characteristics and qualifications needed to perform the job.

It shows what kind of person to be recruited.

It identifies knowledge, skills and abilities needed to do jobs effectively.

It is a profile of human characteristics need for performing the job.

It is an overall summary of worker requirements. Job specification provide following information:

- Education and training
- Experience
- Physical health
- Skills
- Communication, computer and driving, etc
- Abilities (physical and mental)
- Maturity (capacity to assume responsibilities)

Job description

Job description is the written statement of what the jobholder does.

It provides information about job content, job environment and conditions of employment.

It is a profile of the job.

It is an overall summary of job requirements.

There is no standard format in writing a job description but all job description includes:

- Job identification, job title, level of job
- Location of job (department/physical location)
- Relationship with others
- Job summary
- Duties and responsibilities
- Authority and accountability
- Working conditions
- Machine and material used

Recruitment

Recruitment refers to the process of attracting, screening, and selecting qualified people for a job.

Recruitment is the process of matching the need of applicants and organization.

Recruitment is the process of findings qualified people and encouraging them to apply for work with the organization.

It is concerned with finding right people for right positions at the right time.

According to E.W. Flippo: — “Recruitment is a process of searching for prospective employees and stimulating them to apply for jobs”.

Major stages in recruitment include:

I. sourcing candidates by advertising or other methods
II. Screening potential candidates using tests and/or interviews
III. Selecting candidates based on the results of the tests and/or interviews
IV. On-boarding (process of helping new employees become productive members of an organization) to ensure the candidate is able to fulfill their new role effectively

Factors affecting recruitment

- **Size of organization**: A large organization will find itself recruiting potential applicants much more often than smaller organization
- **Employment conditions in the community**: Employment conditions in the community where the organization is located will influence how much recruiting takes place
- **Working conditions**: Poor working conditions lead to more turnovers of employees. This demands frequent recruitment efforts
- **Salary and benefits offered**: Salary and benefits offered by the organization also influence turnover of workers. This also influences the need for future recruiting.
- **Growth factor**: Organization that are not growing or that are actually declining will find little to recruit. On the other hand, organizations that are growing rapidly will find recruitment major Human resource functions

Sources of recruitment

‘Known devils are better than unknown angles’

i. Internal sources
ii. External Sources

Internal sources

- It involves recruiting within the organization. It is also called internal recruiting.
- It considers present employees as candidates for opening of higher-level jobs in the organization

Merits of internal sources

- Possibility of better selection is high
- Builds higher level of employee morale
- Less time is needed for employees to adapt to new work environment
- Less costly than external recruitment
- Employees feel secure which increase their loyalty and commitment
- It encourages good ambitious individuals
- Talent can be fully utilized
- Regular promotional avenues for employees

Demerits of internal sources

- Limits the choice to internal sources only
- Most internal; recruitment are based on seniority but not on merit
- The morale of employees can be adversely affected by limited opportunities for internal recruitment
- Favoritism may take place
- Management becomes stagnant owing to the lack of new ideas, knowledge and enthusiasms
- Inbreeding
- Bone of contention

External sources

- It involves recruiting from outside the organization. It is also called external recruitment. It gets people outside the organization to apply for jobs. The major external sources are employment exchange, students from reputed educational institutions, candidates referred by unions, walk inns, advertising, employment agencies, labor market, referral, professional organization, etc.

Merits of external sources

- Management has greater choice
- Injection of fresh blood: Facilitates inflow of new idea, knowledge and skills
- Motivating internal employees to work hard and compete with external candidates
- Increases adoptability to external changes
- Balances human resources mix
- Fairness in recruitment is possible

Demerits of external sources

- Very costly and time consuming
- Adversely affects the morale of current employees
- More time will be needed to new employees to adopt to new work environment
- May result in wrong selection of employees

Methods of recruitment

1. Internal methods of recruitment

I. **Promotions and transfers**: changes from lower level to higher level(changes in duties, responsibilities, status and values)

II. **Job posting**: It involves announcing job openings to all current employees. Vacancies are announced in bulletin board; in-house news sellers; newspaper; circulars; e-mails etc.

III. **Employee‘s referrals**: This is nomination by superiors. It is a word of mouth recruitment

IV. **Human resource inventory search**: It is a search of skills inventory currently employed in the organization. It tells management what individuals can do

Direct method

2. Campus recruitment

Guidelines for campus recruiting

- Shortlist campuses
- Choose recruiting team carefully
- Pay smartly, not highly
- Present a clear image
- Do not oversell yourself
- Get in early
- Not everyone fits the bill

Indirect methods

Advertising:

- This is widely used method.
- Its media can be newspaper (print media); billboard or poster (visual media); radio (audio media); or television, cinema (audiovisual media).
- Advertising can be want ads or blind box ads.

Third party methods

I. **Employment agencies/exchange**: They can be operated by the government; by nonprofit organization, or by privately owned agencies. Management consulting firms are used for recruiting senior managerial level
II. **Employee referrals**: Current employees recommend their friends and relatives from outside the organization for hard-to-find job skills.
III. **Write-ins**: They send written enquiries in search of job.
IV. **Cyberspace**: Prospective candidates send their bio-data through internet
V. **Trade unions**: They serve as job referrals for recruitment of semi-skilled workers
VI. **Other external methods**: gate hiring, Labor contractors; older workers; retired Human resource; etc.

Human resource training (on the job and off the job)

- Training is the act of increasing knowledge and skills of employees for doing a particular job.
- Training is an organized way of increasing the working abilities of a jobholder.
- Training is a learning experience in that it seeks a relatively permanent change in an individual that will improve his ability to perform on the job.
- Training serves as a balancing factor between employee‘s capabilities and job requirement. The major outcome of training is learning.

Features of training

- Increases knowledge and skills for doing a particular job
- Focuses attention on the current job
- Concentrates on individual employees
- Tends to be more narrowly focused and oriented toward short-term performance concerns

Benefits of training

- Helps employees to perform their job effectively
- Helps to prepare existing employees for higher level jobs
- Aids productivity and quality improvements
- Heightens employee morale and job satisfaction
- Improves labor relations and organizational climate
- Better safety; reduces accidents
- To make employees more mobile and versatile

Different types of training

- Skill training
- Refresher training
- Orientation training
- Cross-functional training
- Promotional training
- Job training
- Remedial training
- Safety training
- Team training
- Creativity training
- Diversity training
- Literacy training

Training method

1. On the job training
2. Off-the-job training

On the job training
(Methods of on-the-job training)

Job instruction training: It is directly related to specific work situation. It is a systematic step-by-step approach to on the job training to teach new task. Four steps involved in job instruction training are ; Preparation, Presentation, Performance try out and follow up.

Apprenticeship training: Employees learn by working with those already skill in their job. Some examples are plumbers, carpenters, electricians, and accountants. Its duration varies job to job generally 2 to 5 years.

Internship training: It is provided to skilled and technical Human resource. The trainee is interned in organization for a specified period and works as an employee. Students of technical subjects generally undergo internship training.

Coaching: learning by doing

mentoring: senior grooming junior

Job rotation: changing job types

Committee assignment: trainees are asked to solve an actual organizational problem. They have to work together and offer solution.

Off-the-job training

The training takes place outside the work situation. It is mostly classroom based.

<u>Method of off-the-job training:</u>

- **Simulation exercises/vestibule training**: Simulation is abstraction of real work conditions in the lab or classroom. The trainee is placed in an artificial environment that closely resembles actual working conditions. Computer modeling is an example. Airlines use simulation to train pilots. It can be computer modeling or vestibule training.
- **Programmed instruction**: It can be in the form of programmed text or manuals. It condenses information to be learned into organized and logical sequences. Trainees are required to provide feedback on their learning progress. Computer assisted instructions and interactive video training are widely used for the delivery of programmed instruction.

- **Lecture/conference**: It is based on talking and showing. It is oral communication of specific information by instructor to trainees. It is teacher-oriented training by telling. Audio-visual tools are used.
- **Experimental/ role-play**: They are short structured — learning by doing experiences. Role lay is an example of such exercises. Role-plays are human interaction involving realistic behavior in imaginary situations. Trainees act roles to learn behavior appropriate for the job.

PERFORMANCE APPRAISAL

- Performance appraisal is systematic formal appraisal of an employee‘s performance on the job and his potential for assuming future responsibilities. It assesses the relative worth of each employee.

According to Edwin B. Flippo: — PA is a systematic, periodic and so far as humanly possible an impartial rating of employee's excellence in matters pertaining to his present job and to his potentialities for a better job.

According to Dale S. Beach: — PA is the systematic evaluation of individuals with respect to their performance on the job and their potential for development

Performance Appraisal methods

i. Job standard-oriented method:

It is based on absolute standards. They can be of the following types: Here the rater writes a

- **Essay method or free form narrative essay** describing an employee‘s (a) strength and weakness; (b) job performance during appraisal period;(c) technical effectiveness; (d) leadership ability; (e) promotional potential; (f) training and development needs; (g) suggestions for improvement. This essay is based on qualitative impression on the rater.

- **Checklist method**: Here, a list of behavior is developed and the rater checks off. It is widely used by government office. It can be simple or weighted.

✓**Simple checklist**: It is a list of descriptive statement of employee behavior and characteristics. The rater checks off yes or no behavior that apply to the employee.

✓**Weighted checklist**: The statement in the simple checklist is weighted by assigning points according to importance.

- **Forced choice method**: The rater is forced to choose between two or more statements that are most or least descriptive of the employee being appraised. It consists of special type of checklist. Checklists items are arranged in groups.
- **Critical incident method**: This method focuses on job performance. This consists of written description of effective or ineffective worker behavior related to performance in critical situations. Such situations are called incidents. The supervisors record such incidents. The critical incidents are analyzed to evaluate employees‘ performance.

- **Rating scale method (graphic rating method):** It is the most widely used method of performance appraisal. The rater provides a subjective evaluation of an employee‘s performance and traits along a scale. The following factors can be evaluated- quality and quantity of work, job knowledge, attendance, loyalty, dependability, honesty, integrity, attitude, etc. A printed form is generally used for evaluation

- **Behaviorally anchored rating scale**: This method is a combination of critical incident method and rating scale method. Here, the rating scale is anchored with critical incidents to make the evaluation job specific.

ii. Comparison-oriented methods:

They are based on relative standard

- **Individual ranking**: The evaluator lists the employees in a rank order from highest to lowest on the basis of overall performance. Only one employee can be best or worst.
- **Group under ranking**: The evaluator places employees in particular classification such as top 20%, second 20%, bottom 20%, etc.
- **Paired comparison**: The evaluator compares each employee with every other employee on a one-on-one basis in terms of overall performance. Pairs of employees are formed. Better performer in each pair is identified. The overall rank of employee is determined by the number of times chosen as better performer in total pairs

iii. Objective-oriented method

It is based on objective. It can be:

- **Management-by-objective**: Performance appraisal is based on how well the time-bound objectives have been accomplished. The manager and the subordinate jointly set the objectives. The emphasis is not on activities but on results achieved.
- **Appraisal interview**: It is a face-to-face discussion and review of performance appraisal with the employee. It is conducted after the performance evaluation has been formally done. Generally, it is conducted on one-to-one basis.

Importance of performance appraisal

- **Performance feedback**: PA helps to identify job related strengths and weakness of employees. Feedback can be given to employees as cut their performance rating. This helps to enhance employee effectiveness.
- **Reward management**: PA provides an objective basis for decision regarding reward system. Pay rise is generally based on performance of employee.
- **Training and development decision**: PA indicates performance deficiencies in employees. They serve as a guide for identifying training and development needs.
- **Career planning**: PA is central to an organization‘ career planning process because it provides a good opportunity to review person‘s career plans in light of his/her exhibited strengths and weakness.

- **Supervisory understanding**: PA encourages supervisors to observe the job performance of their subordinates. This helps to develop good communication and understanding between the supervisors and subordinates.
- **Validation of selection tests**: PA results can be compared with the scores of selection tests to find out the validation of selection tests.

Challenges in managing people in ICT workforce

1. Lack of Communication
2. Cybersecurity Threats
3. Budget Constraints
4. Talent Shortages
5. Legacy Systems
6. Keeping Up with Technology Trends
7. Managing Remote Teams
8. Managing Data
9. Managing Vendor Relationships
10. Managing Change

Control

HR controlling is an essential means for **planning, managing, and controlling** all employee-related processes. The purpose is to align the goals in the field of human resources and the general corporate goals.

The following questions are usually posing an overall starting point for HR controlling and the identification of the right key figures:

- How many employees are currently employed in the company?
- What are the corresponding personnel costs?
- How efficiently are goals being achieved?

Based on the answers to these questions, HR controlling can then be employed. Depending on the potential for improvement, the right approaches are identified. This applies to individual, team, and corporate goals.

- In an organization from the president to a supervisor, the function that is performed with utmost care and respect is the controlling process. Here control refers to the task that ensures that the activities are producing the required goals and targets.
- Thus, controlling helps in monitoring what will be the outcome of the activities. Furthermore, it reviews the feedback information about this outcome. And also provide us with the necessary course of action. It is stated that the control is a function that is very closely connected to the planning.
- In an organization, we can widely find three kinds of control.

Kinds of Control

In modern organizations, there are three kinds of control that you will usually find,

- Concurrent control
- Feedback control
- Feedforward control

Concurrent Control

- This control can also be referred to as steering or real-time control. Thus, this control is associated with adjusting a performance before any high damage is done. For example, the car’s movements are navigated by a driver continuously. Also, a driver adjusts the steering of its car continuously.

- This direction for both the examples depends upon the obstacles, destination, and many more. Usually, you will find a control chart in a factory. This is an example of concurrent control. So, this control occurs when the activity is still in the process.

Feedback Control

- Any managerial system that is good controls itself in the form of information feedback. This discloses errors in accomplishing goals and thereby initiates the proper corrective action. Thus, feedback is the process that adjusts future actions based on the information about past performance. Although feedback is done after the process, it is a very important part of the control process.
- Feedback permits the manager to use the information about the past performance by bringing the future performance in line with the objective that is planned.
- Thus, testing the validity and its appropriate standards is helped by post control.
- Thus, to make it more effective and meaningful, it is required to analyze the post-performance.

Feedforward Control

- This involves evaluating the various inputs. Feedforward follows a very simple principle that any organization is not stronger than its weakest link. For example, when a machine is not working properly then the operator will look for some critical components to check whether the machine is working or not.
- Thus, the same logic is applied to feedforward control as well. The main example of feedforward control is a preventive maintenance program. This system is employed to prevent the breakdown of any machinery. Another example of this can be considered as policies. Policies are formed in a country to prevent any critical problem from happening.

Effective HR control techniques

1. Communicate, do not command
2. Build relationships
3. Goal setting and development opportunities
4. Nurture teamwork
5. Appreciate and reward a job well done
6. Confrontation isn’t always bad
7. Review hiring and recruitment practices

ICT tools for effective control of engineering projects and organizations.

1. Project Management Software
2. Version Control System
3. Testing and Debugging Tools
4. Documentation Tools
5. Communication and Collaboration Tools
6. Learning and Development Tools
7. Consider the team's experience

Thank You

Unit 5

Emerging Trends in Engineering Management

Participative Management

- It is also known as participative leadership or democratic leadership, is a management style that involves employees in decision-making and problem-solving.
- It's based on the idea that employees are close to the issues and can be just as legitimate as managers in proposing solutions.

Characteristics of Participative Management

- **Collaboration :** Employees are encouraged to work together transparently, sharing knowledge and skills.
- **Active participation :** Employees are encouraged to take an active part in decision-making.
- **Open exchange :** Managers act as facilitators or coaches, encouraging open exchange and listening to suggestions.
- **Consensus /Agreement :** Managers seek consensus before making important decisions.
- **Collective intelligence :** The aim is to harness collective intelligence and create an inclusive and motivating working environment.

Benefits of Participative Management

- Increased efficiency due to innovation and flexible feedback systems.
- Enhanced quality of products and lower manufacturing prices.
- Increased rate of achieving targets due to more frequent communication.
- Developed sense of ownership in employees.
- Decreased disputes between employees.

Conflict

- Conflict is a disagreement or clash between opposing forces, ideas, or interests.
- It can also refer to a mental struggle between incompatible wishes or drives.

<u>Some examples of conflict:</u>

- Two people have different ideas about how to use an empty lot
- Two people have opposing wants, such as a boss and an employee
- Two appointments are scheduled for the same time

- Conflict can be a natural part of the workplace, where different perspectives on business issues can lead to disagreements
- Conflict can be either good or bad. Controlled conflict is good for any organization’s growth.

Levels of conflict

A. **intrapersonal** - Conflict occurring within the self
B. **interpersonal** - This conflict May arise because of differences in goal and roll of an individual. This conflict occurs between two or more persons basically because of communication gap and perceptual differences.
C. **Intergroup** - it is occurred between groups because of difference between them. in sharing resources and implementation of conflicting rewards and punishment system may be taken as an example
D. **Inter-organizational**: It occurs between organizations because of various issues related to organizations functioning such as competition

Sources of Conflict

1. Personal differences
2. Goal and role incompatibility
3. Organizational climate and change
4. Gender and other social differences
5. Availability and accesses to resources and
6. Communication gap

Conflict Resolution

- It is a process to find a peaceful solution to a disagreement between two or more parties.
- It involves understanding different perspectives and working together to find a compromise that satisfies everyone.

How to Resolve Conflict

- **Avoidance** - This method suggests avoiding conflict by suppressing
- **Diffusion** - Conflict is tried to deactivate through diffusion.
- **Containment** - Conflict is allowed to bring into notice in a controlled manner and for resolution discussions and bargaining take place.
- **Confrontation** - Conflict related issues are brought out and tried to resolve the issues adopting necessary measures by addressing the needs of the parties in conflict. A face to face meeting conducted to find out the mutually agreed solutions.
- **Litigation / Legal Action** : pre defined law / rules and regulations are adopted to settle the disputes.

Change Management

- It's the process of implementing and describing changes within an organization.
- It involves:
  - Requesting changes
  - Determining if changes are attainable
  - Planning and implementing changes
  - Evaluating changes
  - Supporting people through the change process
  - Establishing goals and key performance indicators (KPIs)

Examples of change management

- Implementing new technology, Overhauling digital systems, Company acquisitions and mergers, and Changes in management personnel or style.
- When managing change, it's important to consider both hard and soft factors.
- Hard factors include:
  - The time required to complete the change
  - The number of people needed to execute the change
  - The financial results expected from the change

- Soft factors include:
  - Interpersonal skills: Compassionate listening, empathy, receptivity, trust, and self-awareness
  - Collaborative approach: A longer-term perspective that involves those affected by change
  - Mindset, culture, and behavior: Changes to the way people think and act, such as new corporate values, increased customer focus, or changes to diversity and inclusion

Quality Management

- Process of overseeing activities and tasks to maintain a desired level of excellence.
- It involves:
  - **Quality policy**: Determining a quality policy
  - **Quality planning and assurance**: Creating and implementing quality planning and assurance
  - **Quality control and improvement**: Managing quality control and improvement

Importance of QM

- Quality management is important for shaping company performance and customer satisfaction.
- Some types of Quality Management include:
  - **Total Quality Management (TQM):** Prioritizes meeting customer needs and exceeding expectations
  - **Six Sigma**: A methodology that helps businesses improve processes, products, or services by eliminating defects
  - **Quality Management System (QMS):** A system that can be broken down into four components: quality planning, quality control, quality assurance, and quality improvement

- The ISO 9000 family is a standardized set of rules for quality management systems.
- ISO 9001:2015 is a widely recognized quality management standard that outlines how an organization can achieve consistent performance and service.

Principles of Quality Management

- **Process approach**: Educating everyone involved in the production cycle about how inputs and outputs interrelate
- **Customer focus**: Ensuring everyone across the organization has a strong grasp on customers, suppliers, and competitors
- Leadership
- Engagement of People
- Continuous Improvement
- Evidence-based Decision Making
- Relationship Management

Benefits of Quality Management

- It helps an organization achieve greater consistency in tasks and activities that are involved in the production of products and services.
- It increases efficiency in processes, reduces wastage, and improves the use of time and other resources.
- It helps improve customer satisfaction.
- It enables businesses to market their business effectively and exploit new markets.
- It makes it easier for businesses to integrate new employees, and thus helps businesses manage growth more seamlessly.
- It enables a business to continuously improve its products, processes, and systems.

Innovation Management and Disruption

- Innovation management is the process of leading change and creating profits for a company, and disruptive innovation is a type of innovation that can radically change market behavior.
- Disruptive innovation can be a key component of innovation management, and companies need to have an innovation strategy in place to stay competitive.

Key concepts related to innovation management and disruptive innovation:

- **Disruptive innovation**: A new product or service that can create a new market segment or disrupt an existing one. Disruptive innovation can break existing operating models and create new ones.
- **Types of innovation**: Innovation can be incremental, breakthrough, or disruptive. Incremental innovation involves improving current products, services, processes, or methods. Breakthrough innovation is a technological advancement that improves a product or service within an existing category.
- **Disruptive innovation theory :**Popularized by Harvard Business School professor Clayton Christensen, this theory explains how new products, services, or technologies can start small and eventually surpass established offerings.

- **Examples of disruptive innovation**: Annapurna Conservation Area Project (ACAP) disrupted the traditional hotel industry by providing a platform for people to rent out their homes. The concept of Paying guest was developed.
- **Innovation management strategies**: Companies can use design thinking to structure and manage ideation, development, and innovation. They can also collaborate with external partners to solve innovation problems and reach goals more quickly.

Recent engineering management concepts for managing ICT based projects and organizations

Some engineering management concepts for managing ICT-based projects and organizations:

- **Project planning and strategy** : Ensure that project goals align with the organization's strategic objectives.
- **Resource allocation**: Allocate resources efficiently, including manpower, technology, and capital.
- **Team leadership and coordination** : Ensure that the team is led and coordinated effectively.

- **ICT strategy** : Have a well-laid out plan to coordinate activities to achieve the project's goals and mission.
- **Define, balance, and integrate relationships** : Define, balance, and integrate the relationships among the three vital elements of projects: People, Process, and technology.

- ICT project management is the process of planning, organizing, and developing information technology projects. IT project managers can use various software to plan and move through the various phases of the IT project management life cycle.

Thank You